COOPERATIVES ACT, 2074 (2017)

Act No. 41 of the year 2074

(Unofficial Translation)

	Particulars	**Date (BS)**
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	Acts amending this Act:	
1	Act Amending Some Nepal Acts, 2075	2075.11.19
2	Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080	2080.12.30
3	Act Amending Some Nepal Acts relating to Cooperatives, 2081	2081.12.18
4	Cooperatives (First Amendment) Act, 2083	2083.03.25

An Act Made to Amend and Consolidate the Law relating to Cooperatives

Preamble: Whereas, it is expedient to amend, consolidate and make timely the prevailing law relating to cooperatives in order to achieve the economic, social and cultural upliftment of members by integrating, on the basis of self-reliance and mutuality, the capital, technology and talent scattered among the farmers, labourers, workers, low-income groups and marginalized communities or general consumers of the country in accordance with cooperative values, norms and principles, to promote and regulate cooperative institutions as community-based, member-centred, democratic, autonomous and self-governed organizations, and to develop a self-reliant, sustainable and socialism-oriented national economy through cooperative farming, industry, and goods and services businesses;

Now, therefore, the Legislature-Parliament has enacted this Act pursuant to sub-article (1) of Article 296 of the Constitution of Nepal.

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Chapter-1
Preliminary

1. Short Title and Commencement:–

(1) This Act shall be called the "Cooperatives Act, 2074."

(2) This Act shall come into force immediately.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Internal procedure" means the internal procedure framed by a cooperative institution pursuant to Section 28.

[1](a1) "Licence" means the licence granted pursuant to Section 16A.

(b) "Offence" means an offence under Section 122.

(c) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

[2](d) "Family" means the persons having the following relationship with a member:-

husband, wife, son, daughter-in-law, daughter, adopted son, adopted daughter, father, mother, grandfather, grandmother, stepfather and stepmother living in the same joint family, and the elder brother, elder brother's wife, younger brother, younger brother's wife, elder sister and younger sister whom one is obliged to support, and, in the case of a married female member, her mother-in-law and father-in-law.

Provided that the term also includes such a member who, even though living separately and carrying on his/her own business after partition, separation of household or dissolution of relationship, is found to have misappropriated or embezzled the property of the cooperative or to have been involved in such embezzlement.

[3](d1) "Relative" means the father's elder brother, father's elder brother's wife, father's younger brother, father's younger brother's wife, nephew, niece, grandson, granddaughter, grandson's wife, maternal uncle, maternal uncle's wife, elder sister's husband, son-in-law, sister's son, sister's daughter, wife's younger brother, wife's sister, wife's elder brother, wife's elder brother's wife, father's sister, father's sister's husband, granddaughter's husband, and the separated mother-in-law, father-in-law, elder brother, younger brother, elder brother's wife and daughter-in-law, and the

[1]Inserted by the Cooperatives (First Amendment) Act, 2083.
[2]Amended by the Cooperatives (First Amendment) Act, 2083.
[3]Inserted by the Cooperatives (First Amendment) Act, 2083.

members of the same household, of a person who has misappropriated or embezzled the property of a cooperative or has been involved in such act.

(e) "Primary capital fund" means the share capital and reserve fund.

[4](e1) "Authority" means the National Cooperative Regulatory Authority established pursuant to Section 103A.

(f) "Savings" means the amount deposited by a member with a cooperative institution.

[5](f1) "Cooperative institution conducting principal transactions of savings and credit" means a cooperative institution in which the ratio of the total savings collected, or of the total loans disbursed, by the institution to the total assets or total liabilities shown in its balance sheet exceeds fifty percent, and the term also includes a cooperative institution having total savings or total loan investment of more than twenty-five crore rupees in its balance sheet.

(g) "Ministry" means the Ministry of the Nepal Government looking after matters relating to cooperatives.

(h) "Principal transaction" means the transaction having a share of [6]at least more than fifty percent in the liability of savings mobilized up to the last fiscal year, and in the purchase or sale transactions with members in the last fiscal year, out of the business activities operated by an institution or Association.

[7](i) "Registrar" means the Registrar designated pursuant to Section 92, and the term also includes an officer-level employee designated to perform the function of Registrar or registration officer under the prevailing law relating to cooperatives of the Provincial Government and the Local Level.

(j) "Accounts Supervision Committee" means the accounts supervision committee under Section 48.

(k) "Bylaws" means the bylaws framed by the concerned cooperative institution pursuant to Section 27.

(l) "Department" means the Department looking after cooperative [8]matters.

(m) "Share" means a divided portion of the share capital of a cooperative institution.

(n) "Local Level" means a Rural Municipality and Municipality, and the term also includes a Sub-Metropolitan City and Metropolitan City.

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[4]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[5]Inserted by the Cooperatives (First Amendment) Act, 2083.
[6]Amended by the Cooperatives (First Amendment) Act, 2083.
[7]Amended by the Cooperatives (First Amendment) Act, 2083.
[8]Inserted by the Cooperatives (First Amendment) Act, 2083.

(o) "Director" means a member of the committee, and the term also includes an office-bearer of the committee.

(p) "Member" means a person who has obtained membership of a cooperative institution.

(q) "Committee" means the board of directors under sub-section (1) of Section 41.

(r) "Cooperative bank" means a cooperative bank [9]formed under Section 12.

(s) "Cooperative value" means the values relating to cooperatives having international recognition, including self-reliance, self-responsibility, democracy, equality, equity, solidarity, honesty, openness, social responsibility and caring for others.

(t) "Cooperative business" means the business activity operated in accordance with the arrangements made in the bylaws of a cooperative institution.

(u) "Cooperative principle" means the principles relating to cooperatives having international recognition, including voluntary and open membership, democratic member control, member economic participation, autonomy and independence, education, training and information, cooperation among cooperatives, and concern for community.

(v) "Cooperative institution" means an institution or Association, and this term also includes a cooperative bank.

(w) "Association" means the district thematic cooperative Association, district cooperative Association, provincial thematic cooperative Association, provincial cooperative Association, central thematic cooperative Association and specialized cooperative Association registered under Section 15, and this term also includes the National Cooperative Federation registered under the same Section.

(x) "Institution" means a thematic or multi-purpose institution formed under Section 3 and registered under Section 15.

(y) "General assembly" means the general assembly of a cooperative institution.

Chapter-2
Formation and Registration of Cooperative Institutions

3. Formation of Institution:–

(1) At least thirty Nepalese citizens may mutually form a thematic or multi-purpose cooperative institution.

(2) Notwithstanding anything contained in sub-section (1), in the case of a cooperative institution of labourers, youths, etc. operating a business based on their own labour or skill, at least fifteen Nepalese citizens may form the institution.

[9]Amended by the Act Amending Some Nepal Acts, 2075.

(3) Notwithstanding anything contained in sub-section (1), while forming an institution conducting savings and credit transactions in a Metropolitan or Sub-Metropolitan City area, the participation of at least one hundred Nepalese citizens shall be required.

(4) While forming an institution under this Section, the number set out in sub-section (1), (2) or (3) shall be met at the rate of one member per family.

Provided that once an institution has been registered under Section 15, there shall be no bar on more than one person of the same family taking membership of that institution.

(5) Notwithstanding anything contained elsewhere in this Section, at least one hundred employees, teachers or lecturers holding a remunerated post under the Nepal Government, a Provincial Government, a Local Level, or a school, university or organized institution operated under the grant or ownership of such government or level, may mutually form an institution on the basis of their professional organization registered under the prevailing law, subject to complying with prescribed conditions relating to membership, representation and service operation.

Provided that at least thirty employees, teachers or lecturers, where the number in a single office is fewer than one hundred, may mutually form such an institution, subject to complying with prescribed conditions relating to membership, representation and service operation.

4. Formation of District Thematic Cooperative Association:–

At least eleven institutions duly registered and operating under Section 15 may mutually form a district thematic cooperative Association of their subject matter, in order to carry out work relating to the development, promotion and marketing of cooperative business.

Provided that in remote districts designated by the Nepal Government as "Category A," at least six institutions may mutually form a district thematic cooperative Association.

5. Formation of District Cooperative Association:–

At least fifteen institutions or district thematic cooperative Associations registered under Section 15 may mutually form a district cooperative Association, in order to support work relating to the development, promotion and marketing of cooperative business.

Provided that,

(1) In remote districts designated by the Nepal Government as "Category A," at least seven institutions may mutually form a district cooperative Association.

(2) While forming such an Association, more than fifty percent of the thematic cooperative Associations registered throughout the district shall be included.

6. Formation of Provincial Thematic Cooperative Association:–

At least twenty-five thematic cooperative institutions or thematic district cooperative Associations of at least five districts, registered under Section 15, may mutually form a provincial thematic cooperative Association of their subject matter, in order to support work relating to the development, promotion and marketing of cooperative business.

Provided that while forming such an Association, more than fifty percent of the district thematic cooperative Associations registered throughout the province shall be included.

7. Formation of Provincial Cooperative Association:–

At least thirty-one institutions or district thematic cooperative Associations or district cooperative Associations or provincial thematic cooperative Associations of at least five districts, registered under Section 15, may mutually form a provincial cooperative Association, in order to support work relating to the development, promotion and marketing of cooperative business.

Provided that while forming such an Association, more than fifty percent each of the district thematic cooperative Associations, district cooperative Associations, and provincial thematic cooperative Associations registered throughout the province shall be included.

8. Formation of Central Thematic Cooperative Association:–

At least fifty-one thematic cooperative institutions or thematic district cooperative Associations or thematic provincial cooperative Associations of at least seven districts, registered under Section 15, may mutually form a central thematic cooperative Association of their subject matter, in order to support work relating to the development, promotion and marketing of cooperative business.

Provided that while forming such an Association, more than fifty percent each of the thematic district cooperative Associations or thematic provincial cooperative Associations shall be included.

9. Formation of Specialized Cooperative Association:–

(1) At least twenty-five multi-purpose or thematic institutions registered under Section 15 may mutually form a specialized cooperative Association in order to undertake production activities requiring large investment, such as hydropower projects, chemical fertilizer factories, residential projects, transportation, heavy agricultural equipment, fruit processing, herb processing, sugar industry, cold storage, hospital, school, technical school, or laboratory, or to fulfil the common goods and service needs of members. This shall be a purely commercial institution and shall not have the right to elect or be elected to any Association or federation.

(2) The operating procedure of such an Association shall be as prescribed.

10. Formation of National Cooperative Federation:–

(1) The following institutions or Associations may mutually form a National Cooperative Federation, in order to promote and cause to promote good governance in the cooperative sector on the basis of cooperative values, norms and principles:—

(a) more than fifty percent of the district thematic cooperative Associations formed under Section 4,

(b) more than fifty percent of the district cooperative Associations formed under Section 5,

(c) more than fifty percent of the provincial thematic cooperative Associations formed under Section 6,

(d) more than fifty percent of the provincial cooperative Associations formed under Section 7,

(e) more than fifty percent of the central thematic cooperative Associations formed under Section 8.

(2) Notwithstanding anything contained in sub-section (1), the National Cooperative Association registered at the time this Act commences shall be deemed to have been converted into the National Cooperative Federation under this Act.

11. Association Not to Be Formed:–

Notwithstanding anything contained in Sections 4, 5, 6, 7, 8 and 10, no more than one district thematic cooperative Association or district cooperative Association of the same nature may be formed in one district; no more than one provincial thematic cooperative Association or provincial cooperative Association of the same nature may be formed in one province; no more than one central thematic cooperative Association of the same nature may be formed at the central level; and no more than one National Cooperative Federation may be formed at the national level.

12. Formation of Cooperative Bank:–

(1) Institutions or Associations may mutually form cooperative banks, with the prior approval of Nepal Rastra Bank, for the purpose of accepting savings of institutions or Associations, extending loans to such institutions or Associations, or providing banking services.

(2) Notwithstanding anything contained in sub-section (1), the National Cooperative Bank in operation at the time this Act commences shall be deemed to have been formed under this Act.

(3) Other arrangements relating to the formation of cooperative banks shall be as prescribed.

13. Cooperative Institution Not to Be Operated without Registration:–

No person shall operate a cooperative institution without registering it under this Act.

14. Application to Be Submitted for Registration:–

(1) For registration, an institution formed under Section 3, a district thematic cooperative Association under Section 4, or a district cooperative Association under Section 5, shall submit an application in the prescribed format before the officer authorized by the Registrar; and a provincial thematic cooperative Association under Section 6, a provincial cooperative Association under Section 7, a central thematic cooperative Association under Section 8, a specialized cooperative Association under Section 9, a National Cooperative Federation under Section 10, or a cooperative bank under Section 12, shall submit an application in the prescribed format before the Registrar.

(2) The following documents shall be attached to the application under sub-section (1):—

(a) proposed bylaws of the cooperative institution,

(b) feasibility study report on the operation of the cooperative institution,

(c) details of the number of shares and share amount agreed to be taken by members,

(d) other prescribed details.

[10](3) While submitting an application under sub-section (1), in the case of a cooperative bank, the prior letter of approval of Nepal Rastra Bank, and in the case of a savings and credit cooperative institution, the prior letter of approval of the Authority, shall also be attached.

15. Registration:–

(1) While scrutinizing the application received with documents under sub-section (1) of Section 14, where it is found that the following matters exist, the Registrar or the officer authorized by the Registrar shall register such cooperative institution within thirty days from the date of receipt of the application and issue a registration certificate in the prescribed format:—

(a) that the bylaws submitted with the application conform with this Act and the Rules made under this Act,

(b) that a basis exists for the proposed cooperative institution to be able to operate in accordance with cooperative values, norms and principles,

(c) that a clear basis exists for the cooperative institution to be operated and controlled on a community-based and member-centred manner,

(d) that other prescribed grounds are fulfilled.

[10]Amended by the Cooperatives (First Amendment) Act, 2083.

(2) While scrutinizing under sub-section (1), if it is found that the proposed bylaws of the cooperative institution cannot be registered without amendment, the Registrar or the officer authorized by the Registrar shall, within fifteen days of receipt of the application, notify the applicant specifying the matters in which the bylaws are to be amended.

(3) Notwithstanding anything contained elsewhere in this Act, a cooperative institution registered and in operation at the time this Act commences shall be deemed to be registered under this Act.

(4) While registering a cooperative institution under this Section, the authority under sub-section (1) of Section 14 may impose conditions to be complied with by such cooperative institution.

(5) It shall be the duty of the concerned cooperative institution to comply with the conditions imposed under sub-section (4).

(6) Notwithstanding anything contained elsewhere in this Section, a savings and credit cooperative institution shall be registered per ward in the case of a Metropolitan or Sub-Metropolitan City, and as per the standard prescribed in the case of a Municipality or Rural Municipality.

(7) In the case of a specialized Association under Section 9, registration shall be granted only where there is no duplication with the services provided by a thematic district cooperative Association or central thematic cooperative Association.

[11](8) Notwithstanding anything contained elsewhere in this Section, after this sub-section commences, the registration of a cooperative institution conducting principal transactions of savings and credit shall be at the local level only, as per the standard determined by the Authority.

16. Registration May Be Refused:–

(1) Where the circumstances mentioned in sub-section (1) of Section 15 do not exist, and the applicant refuses to amend the bylaws within the period notified under that Section, or fails to amend the bylaws within thirty days of receipt of such notice, or fails to amend the bylaws as mentioned in the notice, the Registrar or the officer authorized by the Registrar may refuse to register such cooperative institution.

(2) Where registration of a cooperative institution is refused under sub-section (1), the Registrar or the officer authorized by the Registrar shall notify the concerned applicant in writing, stating the reasons therefor, within three days.

16A. Licence to be Obtained:–

(1) A cooperative institution conducting principal transactions of savings and credit, which is registered and in operation under sub-section (1) of Section 15, or which is

[11]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

registered under sub-section (8) of that Section, shall obtain an operating licence from the Authority under this Section.

(2) A cooperative institution conducting principal transactions of savings and credit that is registered under sub-section (1) at the time this Section commences shall obtain the licence within one year from the date this Section commences.

(3) A licence obtained under sub-section (1) shall be renewed annually.

(4) The renewal fee, procedure, and criteria for granting a licence under sub-section (1) shall be as prescribed.

(5) If a licenced cooperative institution acts contrary to this Act or the Rules framed under this Act or the bylaws, fails to comply with a directive given by the Authority, acts contrary to the interests of its members, or fails to submit financial and transaction details required to be submitted to the Authority, the Authority may, specifying a time period, suspend the licence of such cooperative institution.

(6) A cooperative institution whose licence is suspended under sub-section (5) shall not be able to conduct transactions during the period of suspension.

(7) Where a licence is suspended under sub-section (5), the Authority shall immediately issue a public notice thereof, and may make necessary arrangements for interim management to protect the interests of the members of the cooperative institution.

[12](8) While granting a licence under sub-section (1), the Authority shall mandatorily ascertain whether the criteria regarding the qualification and experience (fit and proper test) of persons holding the position of director, office-bearer, or chief executive have been complied with, and a person who has been convicted of a criminal offence, or who has been inactive, or who was a director of an institution at the time it was declared distressed, shall not be considered qualified.

17. Cooperative Institution to be an Organized Institution:–

(1) A cooperative institution shall be a self-governed, organized institution having perpetual succession.

(2) The cooperative institution shall have a separate seal for its activities.

(3) A cooperative institution may, subject to this Act, acquire, use, sell or otherwise dispose of movable and immovable property in the same manner as an individual.

(4) A cooperative institution may sue and be sued in its own name in the same manner as an individual.

(5) A cooperative institution may enter into contracts in the same manner as an individual.

[12]Inserted by the Cooperatives (First Amendment) Act, 2083.

18. Working Area of Cooperative Institution:–

(1) At the time of registration, the working area of a cooperative institution shall be as follows:—

(a) in the case of an institution whose principal transaction is savings and credit, one ward, where it is a Metropolitan or Sub-Metropolitan City;

(b) up to one local level, on the following basis as prescribed, for institutions conducting principal transactions of savings and credit and other institutions, in a Municipality or Rural Municipality:—

(1) common bond for the mutual practice of self-reliance among members,

(2) number of members necessary to operate services at a professional level,

(3) a convenient location so as to maintain the participatory and democratic control of members in the operation of the institution.

(2) Notwithstanding anything contained in sub-section (1), an institution may, two years after commencing business operations upon registration, expand its working area, keeping intact the contiguous geographic area, on the following basis:—

(a) that additional working area is necessary to increase membership in the course of development of the institution's business activities,

(b) that constructive measures have been adopted to maintain direct member control over the operation of the institution's activities,

(c) that it is not contrary to the standard determined under sub-section (6) of Section 15.

(3) Notwithstanding anything contained in sub-section (2), the working area may be expanded on the basis of the nature of members' residence, convenient location, local situation and prescribed special business needs.

(4) Notwithstanding anything contained elsewhere in this Section, the working area of institutions requiring a broad working area from the outset, due to member participation and business sectors such as hydropower projects, education, linguistic, literary, cultural, health services, communication, or production, collection or processing of special agricultural or forest products, may be fixed, at the time of registration itself, as one local level, or district, or more than one district, or more than one province, on a prescribed basis.

(5) The working area of institutions operating at the time this Act commences shall be deemed to remain as per this Act.

Provided that such institutions shall, within one year of the commencement of this Act, submit to the Registrar or officer authorized by the Registrar a report on business operations up to the time this Act commenced, specifying the following details:—

(a) the extent of membership expansion by province, district, local level and ward of the existing working area,

(b) the state of business service operation by province, district, local level and ward of the existing working area, and

(c) other prescribed details.

(6) After the operational report is submitted under sub-section (5), the Registrar or officer authorized by the Registrar may, upon necessary inquiry, instruct the concerned cooperative institution to redetermine the working area as follows:—

(a) to reduce the working area by removing a province, district, local level or ward where membership expansion mentioned in clause (a) of sub-section (5) has not occurred, or is below the prescribed number, or lacks geographic contiguity;

(b) to reduce the working area by removing a province, district, local level or ward where, as per clause (b) of sub-section (5), no business service has been operated, or has been operated below the prescribed amount or ratio of total transactions;

(c) to maintain an additional province, district, local level or ward suitable for increasing business efficiency to meet operating costs and to maintain participatory democratic control of members in institutional operations;

(d) to maintain an additional province, district, local level or ward for the purpose of facilitating access to membership of a district or provincial thematic Association or district or provincial Association, for professional and promotional services.

(7) Where instructed under sub-section (6), the cooperative institution shall amend its bylaws and redetermine its working area within one year.

(8) Where the concerned cooperative institution fails to redetermine its working area within the period under sub-section (7), the Registrar or officer authorized by the Registrar shall redetermine the working area of such cooperative institution within three months, subject to sub-section (2).

(9) A cooperative institution not satisfied with the redetermination of working area made by the Registrar or officer authorized by the Registrar under sub-section (8) may, within thirty-five days from the date of notice of such redetermination, submit an application for review to the Registrar, where the decision was made by an officer authorized by the Registrar, or to the Ministry, where the decision was made by the Registrar.

(10) The Registrar or Ministry shall complete the review of an application received under sub-section (9) within sixty days.

(11) Notwithstanding anything contained elsewhere in this Section, a cooperative institution may voluntarily amend its bylaws at any time to redetermine and reduce its working area.

(12) Other arrangements relating to redetermination of the working area shall be as prescribed.

(13) The procedure for expansion of working area under sub-sections (2) and (3) shall be as prescribed.

19. Working Area of Association and Cooperative Bank:–

The working area of Associations and cooperative banks shall be as follows:—

(a) one district, in the case of a district thematic cooperative Association or district cooperative Association,

(b) one province, in the case of a provincial thematic cooperative Association or provincial cooperative Association,

(c) all of Nepal, in the case of a central thematic cooperative Association or National Cooperative Federation,

(d) according to the area of collection, distribution or supply of goods or services, having regard to the nature of such Association, in the case of a specialized Association,

(e) as [13]determined by Nepal Rastra Bank, in the case of cooperative banks.

20. Classification on Thematic Basis:–

Institutions or Associations may be classified on a thematic basis as prescribed.

20A. [14]Classification of Cooperative Institutions Conducting Principal Transactions of Savings and Credit:–

(1) The Authority shall classify cooperative institutions conducting principal transactions of savings and credit into three tiers — federal, provincial and local — on the basis determined by the Authority.

(2) Notwithstanding anything contained in sub-section (1), for the purpose of classifying cooperative institutions conducting principal transactions of savings and credit, such institutions shall register with the Authority or a body designated by the Authority within the period [15]determined by the Authority from the date this Section commences.

21. Power to Conduct Transaction, Business, Industry or Project:–

(1) After obtaining the registration certificate under Section 15, an institution or Association may, subject to this Act and its bylaws, conduct necessary transaction, business, industry or project in order to achieve the objectives under Section 24.

[13]Amended by the Act Amending Some Nepal Acts, 2075.
[14]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[15]Amended by the Cooperatives (First Amendment) Act, 2083.

(2) A cooperative bank may conduct its transaction or services only after obtaining a licence from Nepal Rastra Bank.

(3) Notwithstanding anything contained in the prevailing law, an institution or Association shall not be required to register a separate institution to conduct transaction, business, industry or project under sub-section (1).

Provided that, where a permit, approval or licence is required to be obtained under the prevailing law in order to conduct such transaction, business, industry or project, such transaction, business, industry or project shall be conducted only after obtaining such permit, approval or licence.

(4) Where an institution or Association obtains a permit, approval or licence under sub-section (3) from a body or authority empowered under the prevailing law, it shall provide information thereof to the Registrar or officer authorized by the Registrar within fifteen days.

(5) Two or more institutions or Associations may, jointly or in partnership, conduct necessary transaction, business, industry or project for the marketing of their products or services, subject to this Act.

(6) Other arrangements relating to conducting transaction, business, industry or project under sub-section (5) shall be as prescribed.

(7) Notwithstanding anything contained in the prevailing law, an institution or Association may sell and distribute the products of the transaction, business, industry or project conducted under sub-section (1) under a cooperative brand.

Provided that, where approval for obtaining such brand is required from the concerned body under the prevailing law, such approval shall be obtained accordingly.

(8) The procedure and basis for issuing certificates of origin for goods produced by an institution or Association shall be as prescribed.

22. Liability to Be Limited:–

(1) With respect to the transactions of a cooperative institution, the liability of a member shall be limited to the maximum amount of shares purchased or agreed to be purchased by such member.

(2) The word "cooperative" shall be included in the name of a cooperative institution, and the word "Limited" shall be included at the end of the name.

23. Cooperative Values, Norms and Principles to Be Complied With:–

Cooperative values, norms and principles shall be complied with while forming and operating a cooperative institution.

23A. [16]Standards to Be Complied With:–

(1) Notwithstanding anything contained elsewhere in this Act, the body responsible for the regulation, inspection and supervision of a cooperative institution conducting principal transactions of savings and credit shall comply with the directives and standards issued by Nepal Rastra Bank in that regard.

(2) Where a cooperative institution under sub-section (1) existing at the time this Section commences has not met the standard determined by Nepal Rastra Bank, it shall meet such standard within two years from the date this Section commences.

Chapter-3
Objectives and Functions of Institution or Association

24. Objective of Institution or Association:–

The principal objective of an institution or Association shall be to achieve the economic, social and cultural upliftment of its members, being based on the working area and member-centred.

25. Functions of Institution or Association:–

An institution or Association shall perform the following functions:—

(a) to comply with, and cause compliance with, cooperative values, norms and principles,

(b) to promote the interest of members and its own business, and market the same,

(c) to provide education, information and training to members, and promote good governance in the member institution or Association,

(d) to enhance mutual cooperation among institutions or Associations,

(e) to determine standards for the products and services rendered by the institution or Association, and improve quality and manage economic stability and risk,

(f) to implement an internal control system,

(g) to conduct activities relating to the professional promotion and development of the institution or Association,

(h) to comply with the directives of the Ministry, [17]Authority, Registrar, Province, Local Level or office,

(i) to perform functions mentioned in the bylaws.

[16]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[17]Inserted by the Cooperatives (First Amendment) Act, 2083.

26. Functions of National Cooperative Federation:–

The National Cooperative Federation shall, for the promotion of the interest of members, perform the following functions:—

(a) to comply with, and cause compliance with, cooperative values, norms and principles,

(b) to play a leading role in promoting the interest of members,

(c) to coordinate and collaborate with various bodies of the Nepal Government for the promotion of the cooperative sector,

(d) to conduct and cause to be conducted professional and market studies and research for the promotion of cooperative business,

(e) to provide and cause to be provided education, training and information,

(f) to develop a market information system,

(g) to enhance mutual cooperation between institutions and Associations,

(h) to enhance mutual cooperation, coordinate and expand relations in international cooperative campaigns,

(i) to promote good governance in the cooperative sector,

(j) to perform functions mentioned in the bylaws.

Chapter-4
Bylaws and Internal Procedure

27. Bylaws to Be Framed:–

(1) A cooperative institution shall frame bylaws for the operation of its activities, subject to this Act, the Rules framed under this Act, directives, standards and procedures.

(2) The bylaws under sub-section (1) shall come into force after being approved by the Registrar or the officer authorized by the Registrar.

(3) Notwithstanding anything contained in sub-section (2), the Registrar shall obtain the advice of Nepal Rastra Bank before approving the bylaws of a cooperative bank.

28. Internal Procedure May Be Framed:–

(1) A cooperative institution may, as necessary, frame its internal procedure, subject to this Act, the Rules framed under this Act, directives, standards, procedures and bylaws.

(2) The internal procedure under sub-section (1) shall come into force after being approved by the general assembly of the concerned cooperative institution.

29. Amendment of Bylaws and Internal Procedure:–

(1) The bylaws and internal procedure may be amended by a majority of the total number of members of the general assembly of the cooperative institution.

(2) The bylaws amended under sub-section (1) shall come into force after being approved by the Registrar or the officer authorized by the Registrar.

Chapter-5
Membership

30. Membership of Institution:–

(1) The following Nepalese citizens who have attained the age of sixteen years may become members of an institution:—

(a) one who resides within the working area of the institution,

(b) one who has purchased at least one share of the institution,

(c) one who agrees to comply with the conditions mentioned in the bylaws of the institution,

(d) one who agrees to discharge the responsibilities of the institution,

(e) one who has not conducted business in competition with the business conducted by the institution.

(2) Notwithstanding anything contained elsewhere in this Act, bodies of the Nepal Government, Provincial Government, and Local Level, as well as cooperative schools, community schools, guthis, local clubs, non-profit organizations formed at the local level, production and service Associations and organizations, and consumer groups within the working area of the institution, shall not be barred from becoming members of the institution.

(3) Notwithstanding anything contained in this Section, a cooperative institution shall not be barred from taking membership in a health cooperative institution.

31. Application to Be Submitted for Membership:–

(1) A person desiring to obtain membership of an institution shall submit an application before the committee of the institution.

(2) The committee shall, within thirty-five days from the date of the application under sub-section (1), decide whether or not to grant membership, subject to this Act, the Rules framed under this Act, and the bylaws.

(3) Where the committee decides not to grant membership under sub-section (2), it shall inform the applicant of the reason therefor within seven days.

(4) The concerned person may, within thirty days of receiving information under sub-section (3), lodge a complaint against such institution before the officer authorized by the Registrar.

(5) Where it is found, upon scrutiny of the complaint received under sub-section (4), that membership ought to be granted to the applicant, the officer authorized by the Registrar may order the concerned institution to grant membership to such applicant.

(6) Where an order is made under sub-section (5), the concerned institution shall grant membership to the applicant within seven days of receipt of the order, and inform the officer authorized by the Registrar thereof.

32. Persons Not Eligible to Become Members:–

[18](1) Notwithstanding anything contained elsewhere in this Act, one person shall not be entitled to become a member of more than one cooperative institution of the same nature.

Provided that a person who, at the time this sub-section commences, is a member of more than one cooperative institution of the same nature, shall, within two years[19] of the commencement of this sub-section, maintain membership of only one such institution.

(2) Where any artificial person other than a body of the Nepal Government, or other than mentioned in sub-section (2) of Section 30, is a member of any institution at the time this Act commences, such membership shall be terminated within five years.

Provided that this sub-section shall not apply to a health or education cooperative institution registered before the commencement of this Act.

33. Persons Entitled to Become Members:–

(1) Thematic institutions within a district may become members of a district thematic cooperative Association under Section 4.

(2) Institutions and district thematic cooperative Associations within a district may become members of a district cooperative Association under Section 5.

(3) Thematic institutions and district thematic Associations within a province may become members of a provincial thematic cooperative Association under Section 6.

(4) Institutions, district thematic cooperative Associations, district cooperative Associations and provincial thematic cooperative Associations within a province may become members of a provincial cooperative Association under Section 7.

(5) Thematic institutions, district thematic Associations and provincial thematic Associations may become members of a central thematic cooperative Association under Section 8.

(6) District thematic Associations, district cooperative Associations, provincial thematic Associations, provincial cooperative Associations and central thematic cooperative

[18]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[19]Amended by the Cooperatives (First Amendment) Act, 2083.

Associations may become members of the National Cooperative Federation under Section 10.

(7) Only institutions and Associations may become members of cooperative banks.

(8) The procedure relating to taking membership under this Section shall be as prescribed.

34. Termination of Membership:–

(1) The membership of a member shall terminate in the following circumstances:—

(a) where the member relinquishes membership,

(b) where the member remains absent, without notice, from three consecutive annual general assemblies,

(c) where the member repeatedly violates a provision required to be complied with by a member under this Act, the Rules framed under this Act, or the bylaws,

(d) where, in the case of a member of an institution, the qualification under Section 30 is lacking.

(2) Notwithstanding anything contained in sub-section (1), the membership of a member shall not terminate until any amount receivable from or payable to the cooperative institution by such member is settled, or until the liability of any loan taken by such member, or of any collateral or guarantee provided on behalf of another member, is settled.

(3) Notwithstanding anything contained in this Section, once a decision has been made to convene a general assembly, no person shall be removed from membership until the general assembly is completed.

(4) Other arrangements relating to termination of membership of a member shall be as prescribed.

35. Facilities Not to Be Obtained:–

A member who fails to pay any liability owed to the cooperative institution within the specified time, or who repeatedly violates a provision required to be complied with by a member under this Act, the Rules framed under this Act, or the bylaws, shall not be entitled to obtain facilities equal to those of other members.

Chapter-6
General Assembly, Committee and Accounts Supervision Committee

36. General Assembly:–

(1) The general assembly shall be the supreme organ of a cooperative institution.

(2) All members of a cooperative institution shall be members of the general assembly.

(3) The general assembly of a cooperative institution shall be as follows:—

(a) preliminary general assembly,

(b) annual general assembly,

(c) special general assembly.

37. Functions, Duties and Powers of the Preliminary General Assembly:–

The functions, duties and powers of the preliminary general assembly shall be as follows:—

(a) to take note of the work performed and financial transactions up to the day preceding the preliminary general assembly,

(b) to approve the annual programme and budget for the current fiscal year,

(c) to endorse reports and financial statements,

(d) to elect the committee or accounts supervision committee as mentioned in the bylaws,

(e) to pass the internal procedure,

(f) to appoint an auditor and fix the auditor's remuneration,

(g) to perform other functions as prescribed in the bylaws.

38. Functions, Duties and Powers of the Annual General Assembly:–

The functions, duties and powers of the annual general assembly shall be as follows:—

(a) to approve the annual programme and budget,

(b) to endorse the annual audit report,

(c) to elect and dissolve the committee or accounts supervision committee,

(d) to remove a director or the coordinator or member of the accounts supervision committee from office,

(e) to pass the annual report of the committee or accounts supervision committee,

(f) to pass the bylaws and internal procedure,

(g) to appoint an auditor and fix the auditor's remuneration,

(h) to decide on merger or dissolution of the institution,

(i) to fix remuneration and other facilities,

(j) to accept external liability,

(k) to waive the liability of a member,

(l) to give necessary instructions to the committee,

(m) to perform other functions as prescribed in the bylaws.

39. Meeting of the General Assembly:–

(1) The committee shall convene the preliminary general assembly within three months from the date the cooperative institution is registered.

(2) The committee shall convene the annual general assembly within six months from the date of completion of each fiscal year.

(3) The committee shall convene a special general assembly in the following circumstances:—

(a) upon the recommendation of the accounts supervision committee under clause (g) of sub-section (1) of Section 49,

(b) where a proposal by any director to convene a special general assembly is passed by the committee,

(c) where the committee decides to convene a special general assembly for a particular task,

(d) where fifteen percent of members submit an application before the committee stating the reasons for convening a special general assembly,

(e) where instructed by the Registrar or officer authorized by the Registrar under sub-section (1) of Section 40,

(f) where ordered by the Registrar or officer authorized by the Registrar under sub-section (2) of Section 42.

40. Instruction May Be Given to Convene Special General Assembly:–

(1) Where, in the course of inspecting or supervising any cooperative institution, or in the course of inquiry into a complaint, any of the following circumstances is found, the Registrar or officer authorized by the Registrar may instruct the committee of such cooperative institution to convene a general assembly:—

(a) where an act contrary to cooperative values, norms and principles has been performed,

(b) where an act contrary to this Act, the Rules, bylaws or internal procedure framed under this Act has been performed,

(c) where, in the case of a cooperative bank, serious irregularity is found in the course of inspection and supervision by Nepal Rastra Bank,

(d) where a directive of the Registrar or officer authorized by the Registrar has been repeatedly violated,

(e) where ordered by the Registrar or officer authorized by the Registrar under sub-section (2) of Section 42.

(2) Where instructed to convene a general assembly under sub-section (1), the committee shall convene the general assembly meeting within thirty-five days from the date of receipt of such instruction, and discuss the matters found in the course of the complaint or inspection at the meeting, and submit a report thereon to the Registrar or officer authorized by the Registrar.

(3) Where the committee fails to convene a general assembly within the period mentioned in sub-section (1) or (2), the officer authorized by the Registrar may convene such general assembly in the case of an institution, district thematic cooperative Association or district cooperative Association, and the Registrar may convene such general assembly in the case of a provincial thematic cooperative Association, provincial cooperative Association, specialized cooperative Association, central thematic cooperative Association, National Cooperative Federation or cooperative bank.

(4) The quorum for the general assembly of a cooperative institution shall be at least fifty-one percent of the number of members remaining at that time.

Provided that if the quorum is not met at the first general assembly convened, a second general assembly shall be convened within seven days thereof, and if, at such second general assembly, a majority of the committee together with one-third of the general members are present, the quorum for the general assembly shall be deemed to have been met.

(5) An institution having two thousand or more members may, while holding a general assembly with the same agenda, send committee members to the local level or its wards on the basis of the number of members as prescribed, hold the general assembly, and select representatives to certify the decisions of such assembly; and the assembly at which such representatives are present shall certify the final decision.

41. Executive Committee:–

(1) A cooperative institution shall have an executive committee elected by the general assembly.

(2) The committee under sub-section (1) shall ensure representation of at least thirty-three percent women members, to the extent available.

(3) More than one person of the same family shall not be entitled to become a candidate for, and be elected to, the post of director or accounts committee at the same time.

[20](3A) No person shall be entitled to be elected for more than two terms to the post of Chairperson, Vice-Chairperson, Secretary or Treasurer of the executive committee, or Coordinator of the accounts committee, of any [21]..... cooperative institution.

[20]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[21]Omitted by the Cooperatives (First Amendment) Act, 2083.

(4) A director of a cooperative institution shall not be entitled to become an employee of the same institution, or a director of any cooperative institution other than a cooperative institution of which his/her institution has taken membership.

Provided that a director of a cooperative institution conducting an annual transaction of less than two crore rupees shall not be barred from working as an employee of such cooperative institution. A director who is an employee of an institution conducting an annual transaction of more than two crore rupees shall relinquish the post of employee, and make arrangement for another employee, within four years from the date this Act commences. The committee under Section 51 shall, from time to time, fix the maximum limit of such transaction having regard to prevailing market conditions and inflation.

(5) A person shall be entitled to be a director of only one cooperative institution at a time.

(6) Notwithstanding anything contained in sub-sections (4) and (5), a person who was a director of more than one cooperative institution, or was an employee of the same or another cooperative institution, before this Act commences, shall, within one year from the date this Act commences, remain as a director or employee of only one cooperative institution.

(7) The term of office of the committee shall be as follows:—

(a) four years, in the case of an institution, Association or federation,

(b) four years, in the case of cooperative banks.

(8) Other arrangements relating to meetings of the committee shall be as prescribed.

42. Election of Committee:–

(1) The committee shall cause the election of the next committee to be held before completion of its own term.

(2) Where information is received that the election of the committee has not been held under sub-section (1), the Registrar or officer authorized by the Registrar may, within six months from the date of receipt of such information, order the concerned committee to hold the election of the committee.

(3) Where ordered under sub-section (2), the concerned committee shall hold the election of the committee within the period specified in such order and inform the Registrar or officer authorized by the Registrar thereof.

(4) Where the election of the committee is not held under sub-section (3), the Registrar or officer authorized by the Registrar shall carry out, or cause to be carried out, all work relating to the election of the committee, including participation of a representative of the upper Association of which such cooperative institution is a member, if any.

(5) It shall be the duty of the office-bearers of the concerned Association and committee to render assistance in the election work under sub-section (4).

(6) All expenses incurred in holding an election under sub-section (5) shall be borne by the concerned cooperative institution.

(7) Until the next election of the committee is held under this Section, the committee shall carry out its work as arranged in the bylaws.

43. Functions, Duties and Powers of the Committee:–

In addition to the functions, duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the committee shall be as follows:—

(a) to operate the cooperative institution in accordance with cooperative values, norms and principles,

(b) to perform financial and administrative functions,

(c) to convene the preliminary general assembly, annual general assembly and special general assembly,

(d) to implement the decisions of the general assembly,

(e) to formulate the policy, plan, budget and annual programme of the cooperative institution and submit them to the general assembly,

(f) to grant membership of the cooperative institution and to remove members therefrom,

(g) to carry out work relating to transfer and return of shares,

(h) to obtain membership of the concerned Association,

(i) to prepare the bylaws and internal procedure and submit them to the general assembly,

(j) to perform necessary functions for the promotion of the interest of the transaction and business of the cooperative institution, remaining within its working area,

(k) to perform other prescribed functions.

44. Director Not to Remain in Office:–

A director shall not be entitled to remain in office in any of the following circumstances:—

(a) where the resignation submitted by such director is approved by the committee,

(b) where a decision to remove such director from directorship is taken under sub-section (1) of Section 45,

(c) where such director becomes a director of another cooperative institution,

(d) where such director becomes an employee of the same or another cooperative institution,

Provided that this shall be subject to the proviso to sub-section (4) of Section 41.

(e) where such director holds a post on the accounts supervision committee of the same or another cooperative institution,

(f) where such director dies.

45. Director May Be Removed from Office:–

(1) The general assembly may, by majority decision, remove a director from the post of director of the committee in any of the following circumstances:—

(a) where financial irregularity has caused loss or damage to the concerned cooperative institution,

(b) where confidentiality of a matter relating to the transaction of the concerned cooperative institution has been breached without authorization,

(c) where a transaction or business of the same nature, in competition with the transaction and business of the concerned cooperative institution, has been conducted,

(d) where an act detrimental to the concerned cooperative institution has been performed,

(e) where such director has become physically or mentally incapable of working,

(f) where any director lacks the qualification mentioned in this Act, the Rules or bylaws framed under this Act.

(2) Before deciding to remove any director from the post of director of the committee, a reasonable opportunity shall be given to such director to present a defence before the general assembly.

(3) Where a director fails to present a defence within the period under sub-section (2), or where the defence presented is not satisfactory, the general assembly may remove such director from office.

(4) A member removed from the post of director under sub-section (3) shall not be entitled to become a candidate in the election of the committee for up to two terms.

(5) Where any director vacates office under sub-section (3), the general assembly shall elect another director for the remaining term.

46. Not to Be Involved in Decision-Making Process Involving Personal Interest:–

(1) A director shall not be involved in a decision-making process involving their personal interest.

(2) A director shall not perform, or cause to be performed, any act in the cooperative institution for their sole personal benefit.

(3) Where any director performs, or causes to be performed, any act or action contrary to sub-section (1) or beyond their jurisdiction, such director shall be personally liable for

such act or action, and where loss or damage is caused thereby to the cooperative institution, a member, or any other person, such loss or damage shall be recovered from such director.

47. Dissolution of Committee:–

(1) The general assembly may dissolve the committee in any of the following circumstances:—

(a) where the business of the cooperative institution has been put at risk by a malicious act of the committee,

(b) where the cooperative institution has been unable to discharge a liability payable within the prescribed time,

(c) where an act contrary to the objectives and functions mentioned in the bylaws has been performed,

(d) where the committee has failed to discharge its responsibility,

(e) where a condition mentioned in this Act or the Rules framed under this Act, or a directive given by the Registrar or officer authorized by the Registrar or by the Registrar, has been repeatedly violated.

(2) Where the committee is dissolved under sub-section (1), the general assembly shall elect a new committee.

(3) Where the committee fails to comply with a directive given by the Registrar or officer authorized by the Registrar under this Act or the Rules framed under this Act, or on the basis of a report submitted under sub-section (2) of Section 40, the Registrar or Chief of Office may, having regard to the seriousness of the matter found in the course of complaint or inspection, give the committee an opportunity to improve, for a period of up to six months, and where improvement is not made within such period, such committee shall be dissolved.

(4) Where the committee is dissolved under sub-section (3), the election of the next committee shall be completed within three months from the date of such dissolution, and until such election is held, the Registrar or officer authorized by the Registrar shall form an ad hoc committee, as prescribed, to conduct the day-to-day business of the cooperative institution.

(5) All expenses incurred in holding the election of the next committee under this Section shall be borne by the concerned cooperative institution.

(6) Notwithstanding anything contained in this Section, the Registrar shall obtain the advice of Nepal Rastra Bank before dissolving the committee of a cooperative bank, and shall act as per the advice given by Nepal Rastra Bank in that regard.

48. Formation of Accounts Supervision Committee:–

(1) In order to strengthen the internal control system in a cooperative institution, the general assembly shall, by election, form an accounts supervision committee consisting of one coordinator and two members meeting the prescribed qualifications.

(2) More than one person of the same family shall not be entitled to become a candidate for, and be elected to, the post of director or coordinator or member of the accounts supervision committee of the same cooperative institution at the same time.

49. Functions, Duties and Powers of the Accounts Supervision Committee:–

(1) The functions, duties and powers of the accounts supervision committee shall be as follows:—

(a) to conduct, or cause to be conducted, an internal audit of the cooperative institution every four months,

(b) to comply with, and cause compliance with, the basic principles of auditing in conducting the internal audit,

(c) to inspect and evaluate financial and economic transactions,

(d) to regularly supervise the work of the committee and give necessary suggestions to the committee,

(e) to monitor implementation of the instructions and decisions of the general assembly and the decisions of the committee,

(f) to submit an accounts-related report and an annual report on supervision of the committee's work to the general assembly,

(g) to recommend to the committee for convening a special general assembly, stating the reasons, where the failure to implement suggestions repeatedly given by it has adversely affected the interest of a cooperative institution, or where there has been extensive misappropriation or irregularity in the cash or kind assets of such institution, or where the institution is about to face serious economic crisis,

(h) to recommend the names of three persons to the committee, as necessary, for appointment of an internal auditor.

(2) The coordinator or member of the accounts supervision committee shall not be entitled to participate in the economic and day-to-day administrative functions of the cooperative institution.

Chapter-7
Mobilization of Savings and Credit

50. Duty to Conduct Savings and Credit Transactions Focused on Members:–

(1) A cooperative institution may accept the savings only of its members, mobilize the same, and provide loans only to members.

(2) Notwithstanding anything contained in sub-section (1), no thematic or multi-purpose institution other than an institution registered to conduct principal transactions of savings and credit shall be entitled to conduct principal transactions of savings and credit.

Provided that where a multi-purpose or thematic institution has been conducting savings and credit transactions as its principal transaction, having been registered as such before this Act commenced, such institutions may, within three years, conduct the principal transaction mentioned at the time of registration, so that savings and credit does not remain the principal transaction.

(3) Except where otherwise determined by the Registrar, the service charge and renewal charge on a loan provided by a cooperative institution to a member shall be as determined by the internal procedure of the concerned institution.

(4) The gap between the interest rate on savings and the interest rate on loans shall not exceed six percent.

(5) A cooperative institution shall not be entitled to charge interest on interest by capitalizing the interest accrued on a loan provided by it into the principal loan.

[22](5A) While calculating the interest rate under this Section, where a reference interest rate is applicable, the same shall be followed accordingly, and for the period before the reference interest rate became applicable, the interest rate mentioned in the deed shall be taken as the basis; and not more than five percent of the outstanding interest amount to be recovered may be charged as penalty.

[23](6) A cooperative institution shall not use savings amounts for the purchase of immovable property, infrastructure construction, investment in transactions, purchase of shares of a firm, company or any bank, or for any other purpose, except for loan investment among members, purchase of bonds issued by the Nepal Government, or purchase of shares of a cooperative bank or small farmers' microfinance institution.

(7) A cooperative institution may collect savings up to fifteen times its primary capital fund.

(8) An institution or Association shall not be entitled to invest loans to a member, other than a member existing at the time of registration, before three months have elapsed since such member obtained membership.

[24](9) Notwithstanding anything contained elsewhere in this Section, a cooperative Association shall not be entitled to conduct savings and credit transactions;

Provided that, cooperative Associations at the district, provincial, and central levels that are conducting savings and credit transactions at the time this sub-section

[22]Inserted by the Cooperatives (First Amendment) Act, 2083.
[23]Amended by the Act Amending Some Nepal Acts, 2075.
[24]Inserted by the Cooperatives (First Amendment) Act, 2083.

commences shall not be barred from mutually forming a cooperative bank under Section 12 and Chapter-8 of the Act, for one time only, within three years of the commencement of this sub-section, or from merging with a cooperative bank in operation under Section 87.

[25](10) The Authority shall monitor and facilitate the process under sub-section (9).

51. Power to Fix Reference Interest Rate:–

(1) The Registrar may, upon the recommendation of a committee constituted as follows, fix a reference interest rate on savings and credit, and the maximum limit of transactions under sub-section (4) of Section 41, for the purpose of the cooperative institution:—

(a) Registrar — Coordinator

(b) Representative, Ministry — Member

(c) Representative, Ministry of Finance — Member

(d) Representative, Nepal Rastra Bank — Member

(e) Representative, [26]Authority — Member

(f) Chairperson of the National Cooperative Federation, or director designated by the Chairperson — Member

(g) Representative, National Cooperative Bank — Member

(h) One director designated by the Chairperson of the Federation, and two representatives designated by the Federation from central thematic Associations — Member

(i) Deputy Registrar, Department of Cooperatives — Member-Secretary

(2) The reference interest rate fixed under sub-section (1) shall serve as a directive interest rate for cooperative institutions.

(3) The basis and procedure for determining the reference interest rate shall be as prescribed.

52. [27]Limit on Individual Savings and Credit:–

(1) The limit of a member's individual savings in a cooperative institution may be up to ten percent of the primary capital fund of the concerned cooperative institution.

(2) A member of a cooperative institution shall not be provided a loan exceeding fifteen percent of the primary capital fund.

[25]Inserted by the Cooperatives (First Amendment) Act, 2083.
[26]Amended by the Cooperatives (First Amendment) Act, 2083.
[27]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

(3) The Authority may frame a standard and, as necessary, revise the limit of individual savings under sub-section (1).

52A. [28]Source to Be Disclosed:–

(1) A member shall mandatorily disclose the source of the amount where depositing savings of more than ten lakh rupees with a cooperative institution.

(2) A cooperative institution shall not accept savings amounts for which the source has not been disclosed by a member under sub-section (1).

Chapter-8
Provisions Relating to Cooperative Bank

53. Capital:–

(1) The capital of a cooperative bank shall consist only of ordinary shares.

(2) The minimum capital of a cooperative bank shall be as fixed by Nepal Rastra Bank.

(3) A cooperative bank may, with the prior approval of Nepal Rastra Bank, increase its capital by passing a proposal through the general assembly.

(4) A cooperative bank shall increase its capital in accordance with the directives given by Nepal Rastra Bank from time to time.

54. Functions of the Cooperative Bank:–

A cooperative bank may, subject to this Act, the Rules and bylaws framed under this Act, and other prevailing law, perform the following functions among its member institutions or Associations:—

(a) to provide loans to institutions or Associations, as prescribed, in proportion of fixed and current capital, for agriculture, industry, service, trade, energy, tourism and other activities,

(b) to accept savings from members and make repayment of such savings,

(c) to enter into agreements with, and undertake joint investment together with, Associations, institutions, or bodies of the Nepal Government or a Provincial Government, or with a Local Level, being member-centred, for the development and promotion of the cooperative sector,

(d) to issue guarantee bonds on behalf of member institutions or Associations, and to take movable or immovable property as security or collateral against such guarantee bonds, or to take third-party collateral with the third party's consent,

(e) to take institutional loans as necessary,

(f) to recover interest on loans, bonds, etc.,

[28]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

(g) to inspect, supervise and monitor whether loans provided by it have been put to proper use,

(h) to purchase and sell bonds issued by the Nepal Government or treasury bills issued by Nepal Rastra Bank,

(i) to exchange information between institutions or Associations and their affiliated members,

(j) to accept savings, make payments, and transfer amounts by means of electronic equipment or devices,

(k) to take or provide loans or re-loans as necessary,

(l) to channel, as development, finance, or loan, or to manage the source of, funds received from internationally recognized cooperative organizations, donor agencies, banks, etc. for project promotion,

(m) to conduct or cause to be conducted studies, research and surveys relating to project establishment, operation and evaluation,

(n) to conduct other banking transactions upon obtaining a licence from Nepal Rastra Bank.

55. Bar on Providing Loans:–

A cooperative bank shall not be entitled to provide loans against collateral or guarantee of its own shares.

56. Dividend Not to Be Distributed:–

A cooperative bank shall not declare or distribute dividends until preliminary expenses, losses incurred in the preceding year, capital fund, risk-bearing fund and reserve fund have been fulfilled.

57. Not to Purchase Goods for Trading Purposes:–

A cooperative bank shall not purchase goods or immovable property for trading purposes, other than acts and actions it is entitled to perform under this Act and goods or immovable property necessary for its own use, and except in the circumstance under sub-section (6) of Section 79.

58. Accounts and Records:–

(1) A cooperative bank shall maintain accounts and records in the format approved by Nepal Rastra Bank, so as to reflect the actual state of its transactions.

(2) The accounts and records under sub-section (1) shall clearly mention details of the actual financial state of the cooperative bank, its investments, loans given and taken, and other financial transaction income and expenditure, and details of assets and liabilities.

59. Nepal Rastra Bank May Take Over Management:–

(1) In any of the following circumstances, Nepal Rastra Bank may, after informing the Department, suspend the committee of a cooperative bank and take over, or cause to be taken over, the management of such bank itself or through any other body:—

(a) where a directive given by Nepal Rastra Bank from time to time, based on the audit report or inspection report of the cooperative bank, has not been complied with,

(b) where any act contrary to the interest of members has caused loss or damage to members,

(c) where the cooperative bank has been operated inefficiently and ineffectively, causing loss or damage to the bank.

(2) Before suspending the committee of a cooperative bank under sub-section (1), an opportunity of at least seven days shall be given to the cooperative bank to present a defence.

(3) Where a defence is not presented within the opportunity given under sub-section (2), or where the defence presented is not satisfactory, Nepal Rastra Bank may suspend the committee of the concerned bank and take over, or cause to be taken over, management of such bank itself or through any other body.

(4) Notwithstanding anything contained in this Section, when Nepal Rastra Bank takes over, or causes to be taken over, management of a cooperative bank itself, it shall also include a representative of the Department.

60. Cancellation of Registration:–

(1) Where it is found that a cooperative bank is unable to repay loans and external liabilities, Nepal Rastra Bank may advise the Registrar to cancel the registration of such bank.

(2) Before giving advice under sub-section (1), Nepal Rastra Bank shall give the concerned cooperative bank an opportunity of at least fifteen days to present a defence.

(3) Where advice to cancel registration is received under sub-section (1), the Registrar shall cancel the registration and appoint a liquidator under Section 89.

61. Confidentiality to Be Maintained:–

(1) Confidentiality of accounts, financial transaction details and records relating to the transactions of a cooperative bank shall be maintained.

(2) Notwithstanding anything contained in sub-section (1), there shall be no bar on providing the books, accounts, details of accounts and records relating to the transactions of the bank for the following purposes:—

(a) to a court, in connection with a case or other legal proceeding,

(b) to an auditor, in connection with audit,

(c) to the concerned officer, in connection with inspection,

(d) to a person or officer empowered under the prevailing law to demand such details,

(e) to its own members.

62. Liquid Assets to Be Maintained:–

A cooperative bank shall maintain liquid assets as fixed by Nepal Rastra Bank.

Chapter-9
Mobilization of Economic Resources

63. Provisions Relating to Sale and Return of Shares:–

(1) A cooperative institution may sell shares to its members.

(2) Notwithstanding anything contained in sub-section (1), a cooperative institution shall not sell shares to a single member exceeding twenty percent of its total share capital.

Provided that this restriction shall not apply in the case of an institution or body wholly or partly owned or controlled by the Nepal Government.

(3) Notwithstanding anything contained in sub-section (1), a cooperative bank may sell its shares to a body or institution wholly or partly owned or controlled by the Nepal Government, in addition to its members.

(4) The face value of a share of a cooperative institution shall be one hundred rupees per share.

(5) The share capital of a cooperative institution shall be as mentioned in the bylaws.

(6) A cooperative institution shall not be entitled to sell shares in the open market.

(7) The shares of a member of a cooperative institution, forming part of the institution's capital, shall not be auctioned or sold for any loan or liability other than a loan or liability owed to that same cooperative institution.

64. Provisions Relating to Return of Amount and Operation of Account:–

(1) Where a member relinquishes membership of a cooperative institution and wishes to withdraw the amount, the remaining amount shall be returned to such member as prescribed within three months from the date of settlement of any liability of such member.

(2) Where a member demands the return of savings deposited with a cooperative institution, the remaining amount, after deducting any liability of such member, shall be returned to such member as prescribed.

(3) A cooperative institution may operate all types of savings accounts.

65. Power to Take Loan or Grant:–

(1) A cooperative institution may take loans or grants from domestic or foreign banks or institutions, Associations or other bodies, or work in partnership.

(2) Notwithstanding anything contained in sub-section (1), prior approval of the Ministry of Finance shall be obtained, upon the recommendation of the Ministry, before taking a loan or grant from a foreign bank or body.

66. Power to Obtain Security of the Nepal Government:–

(1) Where a cooperative institution requires security for a loan taken from a foreign bank or body, it may make a request to the Ministry of Finance through the Ministry.

(2) Where a request is made under sub-section (1), the Ministry of Finance may provide security for such loan.

(3) While providing security under sub-section (2), the Ministry of Finance may impose necessary conditions.

Chapter-10
Funds of Cooperative Institution

67. Fund of Cooperative Institution:–

(1) The fund of a cooperative institution shall consist of the following amounts:—

(a) amount received from the sale of shares,

(b) amount received as savings,

(c) amount received as loans,

(d) grant amount received from the Nepal Government,

(e) grant or assistance amount received from a foreign government or international organization,

(f) amount earned from business activities,

(g) membership entry fee.

(2) Prior approval of the Ministry of Finance shall be obtained before receiving amounts under clause (e) of sub-section (1).

68. Reserve Fund:–

(1) A cooperative institution shall have one reserve fund.

(2) The following amounts shall be credited to the fund under sub-section (1):—

(a) at least twenty-five percent of the net savings amount of the fiscal year,

(b) capital grant amount provided by any institution, Association or body,

(c) amount received from the sale of fixed assets,

(d) amount received from other sources.

(3) The amount of the fund under sub-section (1) shall be indivisible.

[29](4) Where a retrospective correction is required to be made to the profit and loss account under the prevailing accounting standards, and such correction results in an increase in savings (profit), the reserve fund shall also be corrected to that extent.

69. Reserved Capital Return Fund:–

(1) A cooperative institution shall have one reserved capital return fund.

(2) At least twenty-five percent of the amount remaining after setting aside the amount under clause (a) of sub-section (2) of Section 68 in the reserve fund under that Section shall be deposited annually in the fund under sub-section (1).

(3) The amount under sub-section (1) shall be made available to the concerned member on the basis of the member's annual transaction as prescribed.

70. Cooperative Promotion Fund:–

(1) A cooperative institution shall have one cooperative promotion fund.

(2) For the promotion of cooperative business, an amount equal to zero point five percent of the amount remaining after setting aside the amount under clause (a) of sub-section (2) of Section 68 in the reserve fund under that Section shall be deposited annually in the fund under sub-section (1).

[30](3) The fund under sub-section (1) and the secretariat of the fund shall remain within the Department.

(4) The operating procedure of the fund shall be as prescribed.

(5) The Ministry may make available, in proportion to the amount deposited in the fund under sub-section (1), a prescribed amount.

(6) A prescribed amount shall be made available, from the amount kept in the fund under sub-section (1), to the National Cooperative Federation, concerned thematic central cooperative Association, provincial cooperative Association, provincial thematic cooperative Association, district cooperative Association and concerned district thematic cooperative Association.

(7) A committee shall exist for distribution of amounts kept in the fund under sub-section (1), consisting of the Minister of the concerned Ministry as coordinator, the [31]Chairperson of the Authority, the Secretary of the Ministry, the Joint Secretary of the Ministry of Finance, the Chairperson of the Cooperative Federation, the Chairperson of the Central Savings and Credit Cooperative Association, and the Registrar as member.

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[29]Inserted by the Cooperatives (First Amendment) Act, 2083.
[30]Amended by the Cooperatives (First Amendment) Act, 2083.
[31]Amended by the Cooperatives (First Amendment) Act, 2083.

(8) At least seventy-five percent of the amount received under sub-section (6) shall be invested in infrastructure of the cooperative business, and the remaining amount shall be spent on business promotion, education, information and training, market promotion, monitoring of institutions or Associations, and similar activities.

(9) The concerned Association shall keep a separate record of the amount received under sub-section (6), and shall have it audited under the prevailing law, and publicize the details thereof as prescribed.

(10) The expenditure and achievement [32]details of the amount received under sub-section (6) shall be maintained by the Department.

(11) Where the amount under sub-section (6) is found to have been misused or used for other purposes, the Registrar or officer authorized by the Registrar may recover such amount and withhold the availability of the fund's amount.

71. Provisions Relating to Other Funds:–

(1) In addition to the funds mentioned in Sections 67, 68, 69 and 70, a cooperative institution may have other prescribed funds.

(2) The amount of the fund under sub-section (1) may be used, as prescribed in the bylaws, for the purpose of the fund, including distribution of share dividends.

Provided that the amount of share dividend for one year shall not exceed fifteen percent of the [33]share capital.

(3) On the basis of the total assets and other transaction liabilities of a cooperative bank, such bank shall also have other funds as fixed by Nepal Rastra Bank.

Chapter-11
Records and Information

72. Records to Be Maintained:–

(1) A cooperative institution shall maintain a safe and updated record of the decisions and proceedings of meetings of the general assembly, committee and accounts supervision committee.

(2) A cooperative institution shall maintain safe records of all transactions carried out by it, and other necessary records, as prescribed.

73. Details to Be Made Available:–

(1) A cooperative institution shall submit a report, along with the following details, to the Registrar or officer authorized by the Registrar within the prescribed time, every year:—

(a) four-monthly and annual transaction reports and audit reports,

[32]Amended by the Cooperatives (First Amendment) Act, 2083.
[33]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

(b) annual programme policy and plan,

(c) net savings policy and plan,

(d) list of directors and their remaining term,

(e) information relating to meetings of the general assembly,

(f) share member numbers and share capital,

(g) outstanding amounts of loans taken by directors or members,

(h) other details specified by the Registrar or officer authorized by the Registrar from time to time.

[34](1A) A cooperative institution shall enter the report required to be submitted under sub-section (1) into the Integrated Management Information System maintained in the Department.

[35](1B) After the report under sub-section (1A) has been entered into the Integrated Management Information System, the Registrar shall update the institution's records each year, mentioning the shares, members, and share amounts.

(2) A cooperative bank shall also submit the report under sub-section (1) to Nepal Rastra Bank within the prescribed period.

Chapter-12
Accounts and Audit

74. Accounts of Transactions:–

The accounts of the transactions of a cooperative institution shall be maintained based on the double-entry accounting system, so as to clearly reflect the true state of transactions, and in accordance with the accounting standards implemented by the body empowered under the prevailing law, and other conditions and arrangements required to be complied with under this Act.

75. Audit:–

(1) A cooperative institution shall have the audit of each fiscal year conducted, within three months of completion of such fiscal year, by an auditor licenced under the prevailing law.

(2) Where it is found that a cooperative institution has not had its audit conducted within the period under sub-section (1), the Registrar or officer authorized by the Registrar may have the audit of such cooperative institution conducted by a licenced auditor.

[34]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[35]Inserted by the Cooperatives (First Amendment) Act, 2083.

(3) The remuneration and other amounts payable to the auditor for conducting audit under sub-section (2) shall be borne by the concerned cooperative institution.

(4) The audit report prepared by the auditor under sub-section (1) or (2) shall be submitted to the general assembly for endorsement.

(5) Where the audit report submitted under sub-section (4) is not endorsed by the general assembly, the general assembly shall appoint another auditor for re-audit, subject to Section 76.

(6) A cooperative bank shall also submit the report of its completed audit to Nepal Rastra Bank.

76. Appointment of Auditor:–

(1) The general assembly shall appoint one auditor, from among auditors licenced under the prevailing law, to conduct the audit work of the cooperative institution.

(2) The remuneration and facilities of the auditor appointed under sub-section (1) shall be as determined by the general assembly.

(3) While appointing an auditor under sub-section (1), the same individual, firm or company shall not be appointed for more than three consecutive fiscal years.

77. Persons Not Eligible to Be Appointed as Auditor:–

(1) The following persons shall not be entitled to be appointed as auditor, or, if already appointed, to remain in that post:—

(a) a director of the cooperative institution,

(b) a member of the concerned cooperative institution,

(c) a consultant or employee appointed to receive regular remuneration from the cooperative institution,

(d) a person who has been punished for an offence relating to auditing, where three years of such punishment have not elapsed,

(e) a person who has been declared insolvent,

(f) a person who has been punished for corruption, fraud, or any other criminal offence involving moral turpitude, where five years of such punishment have not elapsed,

(g) an individual, firm or company under sub-section (3) of Section 76,

(h) a person having a conflict of interest with the concerned cooperative institution or Association.

(2) An auditor shall, before being appointed, inform the cooperative institution in writing that they are not disqualified under sub-section (1).

(3) Where any auditor becomes disqualified to audit any cooperative institution before completion of their term, or where a situation arises where the auditor cannot remain in

the post of auditor of the cooperative institution, such auditor shall immediately stop the work of audit required to be done or being done, and inform the cooperative institution thereof in writing.

(4) An audit conducted by an auditor appointed contrary to this Section shall not be valid.

Chapter-13
Exemption, Facility and Concession

78. Exemption, Facility and Concession:–

(1) Notwithstanding anything contained in the prevailing law, a cooperative institution shall obtain the following exemption, facility and concession:—

(a) a cooperative institution shall not be required to register or have registered any deed relating to transaction, other than immovable property.

(b) no income stamp duty or registration fee shall be charged when a cooperative institution purchases immovable property, including land, necessary for the construction of a building for its office and service centre.

Provided that,

(1) income stamp duty or registration fee shall be charged, as per the prevailing law, when land and other immovable property is purchased for commercial purposes.

(2) where land purchased with exemption from registration fee is sold without being used, the registration fee exempted therefor shall be refunded.

(c) no fee shall be charged while passing a deed of usufructuary mortgage of land kept as collateral for a loan investment or guarantee, by a cooperative institution.

(2) Notwithstanding anything contained in the prevailing law, no income tax shall be charged on the amount set aside by a cooperative institution in the reserve fund under clause (a) of sub-section (2) of Section 68, or deposited in the reserved capital return fund under sub-section (2) of Section 69, or in the cooperative promotion fund under sub-section (2) of Section 70.

Provided that, in respect of the tax liability of a member on the amount received by such member from the reserved capital return fund, the matter shall be governed by the prevailing law.

(3) The Nepal Government may, by publishing a notice in the Nepal Gazette, grant exemption, under the prevailing law, from customs duty or value added tax chargeable on machinery, industrial and agricultural equipment, tools, spare parts, raw materials and means of transportation imported by a cooperative institution for its own use.

(4) The Nepal Government may, by publishing a notice in the Nepal Gazette, grant partial or full exemption, under the prevailing law, from excise duty or value added tax chargeable on goods produced by a cooperative institution.

(5) The Nepal Government may, by publishing a notice in the Nepal Gazette, grant exemption from export duty chargeable on goods exported by a cooperative institution, and provide cash export subsidy under the prevailing law, in the same manner as given to industries.

(6) In addition to the exemptions mentioned in this Section, a cooperative institution conducting industrial business shall obtain the same exemption, facility and protection as an industry, and a cooperative institution constructing and operating infrastructure, or operating a special industry, business or service, shall obtain the same exemption, facility and protection as such industry, business or service, under the prevailing law.

(7) The Nepal Government, Provincial Government or Local Level may grant full or partial exemption of any tax leviable under the prevailing law, and provide special financial facilities such as seed capital, cost participation grant, concessional loan, and technical support, for the promotion of cooperative farming or self-employment industries based on labour or skill of members, of destitute rural women, persons with disabilities, freed bonded labourers (Kamaiya), freed Haliya, landless farmers, unemployed persons, labourers, and marginalized groups including Dalits and minority indigenous nationalities.

(8) Where sick public or private industries are cooperativized and workers wish to resume operation under their own ownership, the Nepal Government may, having regard to the nature of the industry, fix seed capital, grant, loan or concessional loan in a reasonable proportion and transfer ownership, or provide incentive by way of tax exemption, guarantee, or appropriate support in the transfer of private ownership.

(9) The Nepal Government may, by publishing a notice in the Nepal Gazette, provide facilities such as share participation, land or infrastructure construction and compensation payment, and full or partial exemption of excise duty or value added tax on production, to large cooperative business projects, including cooperative industrial villages and marketplaces, operated in the form of a specialized Association.

(10) The procedure for obtaining exemption, facility and concession under this Section shall be as prescribed.

Chapter-14
Loan Recovery and Outstanding Dues

79. Recovery of Loan:–

(1) Where a member fails to comply with a loan agreement or condition entered into with a cooperative institution, or fails to pay the principal, interest and penalty of the loan within the term of the deed, or where the loan amount is found to have been misused rather

than used for the intended purpose, the concerned cooperative institution may recover its principal, interest and penalty by auctioning or otherwise disposing of the collateral taken at the time of the loan.

(2) Where the collateral kept by a member with the cooperative institution is, in any manner, relinquished to another person, or where the value of such collateral decreases for any other reason, such borrower may be required, within a fixed period, to provide additional security.

(3) Where the borrower fails to provide additional security under sub-section (2), or where the principal, interest and penalty amount cannot be recovered even from the collateral under sub-section (1) or (2), such amount may be recovered from other property to which the borrower is entitled.

(4) The remaining amount, after deducting the expenses incurred and the principal, interest and penalty amount recovered in recovering the principal, interest and penalty under this Section, shall be returned to the concerned borrower.

(5) Where a cooperative institution auctions the collateral or other property of a borrower under this Section, it shall write to the concerned office for registration or transfer of such collateral or property in the name of the person who wins the auction, and such office shall carry out registration or transfer accordingly and inform the concerned cooperative institution thereof.

(6) Where no one comes forward to purchase property kept as collateral while auctioning it under this Section, the concerned cooperative institution may itself take over such property.

(7) Where property is taken over by the institution itself under sub-section (6), it shall write to the concerned office for registration or transfer of such property in the name of the concerned cooperative institution, and such office shall carry out registration or transfer accordingly.

(8) Other arrangements relating to loan recovery shall be as prescribed.

80. Provisions Relating to Blacklist:–

(1) The name and details of a person who has taken a loan from a cooperative institution and misappropriated the amount, or who fails to repay the principal and interest of the loan within the term, may be published in a blacklist.

(2) Other arrangements relating to publication of the blacklist shall be as prescribed.

81. [36]Credit Information Centre:–

[37](1) ..... Cooperative institutions shall obtain membership of the credit information centre established under the prevailing law, and exchange information on loan transactions.

(2) The credit information centre under sub-section (1) shall also perform the following functions relating to credit information, in respect of cooperative institutions:—

(a) to obtain information on loans disbursed by member cooperative institutions, in order to maintain objectivity and appropriateness in the loan disbursement of such cooperative institutions,

(b) to exchange information received under clause (a), for the purposes mentioned in that clause, among member cooperative institutions,

(c) to take necessary action for blacklisting on the basis of information received under clause (b).

(3) A member cooperative institution shall provide information on loan transactions exceeding ten lakh rupees to the credit information centre.

(4) A member cooperative institution shall mandatorily provide the name of a borrower who does not repay a loan on time, to the credit information centre every three months.

[38](5) The Authority, in respect of a cooperative institution conducting principal transactions of savings and credit, and the Department, in respect of other cooperative institutions, shall coordinate as necessary with the Credit Information Centre;

Provided that, in the case of cooperative institutions within the jurisdiction of a Province or Local Level, the matter shall be governed by the prevailing law relating to cooperatives of the concerned Province or Local Level.

82. Loan Recovery Tribunal:–

(1) There shall be one loan recovery tribunal for the cooperative sector.

(2) Arrangements relating to the formation and operation of the loan recovery tribunal shall be as prescribed.

83. Recovery of Outstanding Dues:–

Where any person owes an amount payable to a cooperative institution and does not pay it, such amount together with interest thereon may be recovered from the property of such person, as prescribed, by the cooperative institution.

[36]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[37]Omitted by the Cooperatives (First Amendment) Act, 2083.
[38]Inserted by the Cooperatives (First Amendment) Act, 2083.

84. Writing for Restraint:–

(1) A cooperative institution may, for the purposes of Sections 79 and 83, write to the concerned body to restrain the account or property of any person from ownership transfer, transfer, or sale.

(2) Where a request for restraint is received under sub-section (1), the concerned body shall restrain the account or property of such person from ownership transfer, transfer, or sale, under the prevailing law.

85. Priority Right to Remain:–

Where a person fails to pay a loan or any other liability owed to a cooperative institution, and the Nepal Government has a claim on the property of such person, the cooperative institution shall have priority right over the remaining amount after setting aside the amount for the Government's claim.

86. Action Not Barred:–

Any action taken by a cooperative institution against any person or cooperative institution in connection with loan recovery shall not be deemed to have barred action against such person or institution under any offence under this Act and the prevailing law.

Chapter-15
Merger, Dissolution and Cancellation of Registration

87. Provisions Relating to Merger and Division:–

(1) Subject to this Act, two or more cooperative institutions may merge with one another, or one cooperative institution may be divided into two or more cooperative institutions on the basis of geographic working area.

(2) A decision to merge or divide under sub-section (1) shall be made by a majority of the total number of members remaining in the concerned cooperative institution.

(3) While making a decision to merge or divide under sub-section (2), the conditions and procedure of merger or division shall also be specified.

(4) Other arrangements relating to merger or division shall be as prescribed.

88. Dissolution and Cancellation of Registration:–

(1) Where any of the following circumstances exist in a cooperative institution, the committee may, by a majority decision of the members remaining at the time in the general assembly, decide to dissolve such cooperative institution and submit an application to the Registrar or officer authorized by the Registrar for approval of cancellation of registration:—

(a) where it is not possible to achieve the objectives and functions mentioned in the bylaws,

(b) where it is unable to serve the interest of members.

(2) Where, upon scrutiny of an application received under sub-section (1), it is found appropriate to dissolve such cooperative institution, the Registrar or officer authorized by the Registrar may cancel the registration of such cooperative institution.

(3) Notwithstanding anything contained in sub-section (2), the Registrar or officer authorized by the Registrar may cancel the registration of a cooperative institution in the following circumstances:—

(a) where it is found to have remained inactive without conducting any transaction for two consecutive years,

(b) where any cooperative institution has repeatedly acted contrary to this Act or the Rules framed under this Act,

(c) where an act contrary to the objectives mentioned in the bylaws has been performed,

(d) where an act contrary to cooperative values, norms and principles has been performed.

(4) Before cancelling registration under sub-section (2) or (3), the Registrar or officer authorized by the Registrar shall give such cooperative institution an opportunity of at least fifteen days for hearing.

(5) Where the registration of a cooperative institution is cancelled under sub-section (2) or (3), such cooperative institution shall be deemed to have been dissolved.

(6) Notwithstanding anything contained in sub-section (2) or (3), the Registrar shall obtain approval of the Ministry before cancelling registration of an institution or Association that has received grant amounts exceeding the limit fixed by the Nepal Government, and shall obtain advice of Nepal Rastra Bank before cancelling registration of a cooperative bank.

(7) Where registration of a cooperative institution is cancelled under sub-section (2) or (3), the registration certificate of such institution, Association or bank shall be deemed to have been automatically revoked.

(8) Nothing contained in this Section shall be deemed to adversely affect the provisions relating to cancellation of registration of a cooperative bank mentioned in Section 60.

89. Appointment of Liquidator:–

(1) Where the registration of any cooperative institution is cancelled under Section 88, the Registrar or officer authorized by the Registrar shall appoint a liquidator.

[39](2) Notwithstanding anything contained in sub-section (1), the Registrar may, in the case of a cooperative institution having property up to a prescribed limit, appoint the officer authorized by the Registrar or an employee as liquidator.

[39]Amended by the Act Amending Some Nepal Acts, 2075.

90. Provisions Relating to Liquidation:–

(1) The functions, duties, powers and remuneration of the liquidator of a cooperative institution whose registration has been cancelled under this Act, and other arrangements relating to liquidation, shall be as prescribed.

(2) Where a liquidator is appointed under sub-section (2) of Section 89, all expenses of liquidation shall be borne by the Nepal Government.

91. Use of Property Remaining after Liquidation:–

The use of the property remaining after payment of all liabilities of a cooperative institution following its liquidation shall be as prescribed.

Chapter-16
Registrar

92. Registrar:–

The Ministry shall designate a civil service employee working at the gazetted first class post or equivalent to act as the Registrar of the Department.

93. Functions, Duties and Powers:–

In addition to the functions, duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the Registrar shall be as prescribed.

94. Delegation of Authority:–

The Registrar may delegate some of the powers vested in the Registrar under this Act or the Rules framed under this Act to a subordinate officer, as necessary.

Chapter-17
Inspection and Monitoring

95. Inspection and Audit of Accounts:–

(1) The Registrar or officer authorized by the Registrar may inspect and audit the accounts of a cooperative institution at any time.

(2) Nepal Rastra Bank may, at any time, inspect or examine the accounts or financial transactions of a cooperative bank, or of a cooperative institution conducting transactions exceeding the prescribed financial amount.

(3) For the purpose of sub-section (2), Nepal Rastra Bank may depute any of its officers or experts and demand necessary details or information from the cooperative bank, and inspect and supervise accordingly.

(4) The concerned cooperative institution shall make available the information demanded by Nepal Rastra Bank, the Registrar or officer authorized by the Registrar while carrying out inspection or examination of accounts under sub-section (1) or (2).

(5) Where, in the course of inspection or examination of accounts under sub-section (1) or (2), it is found that any action of a cooperative institution has not been carried out in accordance with this Act, the Rules, directives, standards or procedures framed under this Act, Nepal Rastra Bank, the Registrar, or the officer authorized by the Registrar may give necessary directives to the concerned cooperative institution, and it shall be the duty of such cooperative institution to comply with such directives.

(6) Nepal Rastra Bank may, while inspecting and supervising a cooperative bank under this Section, exercise the powers vested in it under the prevailing law.

(7) Nepal Rastra Bank shall provide the information obtained in the course of inspecting and supervising a cooperative bank under this Section to the Department.

(8) A cooperative bank shall submit financial statements and other necessary data and documents to Nepal Rastra Bank in the format and time fixed by Nepal Rastra Bank.

[40](9) Notwithstanding anything written elsewhere in this Section, the Authority may audit the accounts of a cooperative institution conducting principal transactions of savings and credit.

96. Power to Investigate:–

(1) Where at least five percent of the members of any cooperative institution submit an application for investigation, alleging that the business transactions of such institution are not satisfactory, or that an act contrary to the interest of members has occurred, or that an act contrary to the objectives of such institution has been performed, the Registrar or officer authorized by the Registrar may investigate, or cause to be investigated, such institution.

(2) It shall be the duty of the concerned committee to provide details or documents demanded and render cooperation while investigating under sub-section (1).

(3) Information on the investigation carried out under sub-section (1) or (2) shall be provided in writing to the concerned cooperative institution.

97. [41]Special Provisions Relating to Monitoring, Inspection and Supervision of Cooperative Institutions Conducting Principal Transactions of Savings and Credit:–

(1) A cooperative institution conducting principal transactions of savings and credit shall adopt a monitoring system as prescribed by the Authority.

(2) On the basis of the monitoring system under sub-section (1), the Authority, or the Department in coordination with the Authority, may also carry out monitoring, inspection, and supervision of institutions conducting principal transactions of savings and credit.

[40]Inserted by the Cooperatives (First Amendment) Act, 2083.
[41]Amended by the Cooperatives (First Amendment) Act, 2083.

(3) While carrying out monitoring, inspection, and supervision under sub-section (2), the Department may, as necessary, obtain the assistance of Nepal Rastra Bank and other agencies with respect to the implementation of savings and credit mobilization standards.

(4) Other matters relating to the monitoring, inspection, and supervision of institutions conducting principal transactions of savings and credit shall be as prescribed.

98. Ministry to Carry Out Inspection and Monitoring:–

(1) Where information is received from any source that the inspection of any cooperative institution has not been carried out by the Registrar or officer authorized by the Registrar, or that such inspection has not been effective, causing adverse effect on members' interest, the Ministry may carry out inspection and monitoring of such cooperative institution and give necessary directives to the concerned cooperative institution.

(2) Where directives are given under sub-section (1), it shall be the duty of the concerned cooperative institution to comply with such directives.

99. Association to Carry Out Inspection and Monitoring:–

(1) An Association shall carry out inspection and monitoring of the work of its members, as prescribed, and submit a report thereof to the Department and the office.

(2) The report under sub-section (1) shall include the following details:—

(a) details of the institution or Association inspected and monitored,

(b) the state of compliance, in the institution or Association, with this Act, the Rules and bylaws framed under this Act,

(c) the state of service facilities obtained by members,

(d) the level of participation of members,

(e) the economic and financial state of the institution or Association and mobilization of funds,

(f) other prescribed matters.

(3) Where, in the course of monitoring under sub-section (2), the Association finds any lapse in the work of any subordinate institution or Association, it may give suggestions or directives to the concerned institution or Association to rectify such lapse, and it shall be the duty of such institution or Association to comply with such suggestions or directives.

(4) Where suggestions or directives given under sub-section (3) are not complied with, a recommendation for action shall be made to the Registrar or officer authorized by the Registrar.

(5) Matters relating to the suggestions or directives given under sub-section (3) shall also be mentioned in the annual report of the Association.

100. Annual Report to Be Submitted:–

(1) The Registrar shall submit an annual report on inspection of cooperative institutions to the Ministry within three months from the date of completion of the fiscal year, and shall make the inspection report of a cooperative bank available to Nepal Rastra Bank as well.

(2) The office shall submit an annual report on institutions or Associations within its working area to the Registrar within one month from the date of completion of the fiscal year.

(3) The report under sub-section (1) or (2) shall specify the following details:—

(a) details of cooperative institutions in operation,

(b) number of cooperative institutions monitored and details of economic transactions,

(c) state of compliance with cooperative principles and this Act, the Rules, bylaws and internal procedure framed under this Act, in cooperative institutions,

(d) state of service facilities obtained by members of cooperative institutions,

(e) level and ratio of member participation in the activities of cooperative institutions,

(f) prescribed details relating to the economic activities and financial state of cooperative institutions,

(g) state of the internal control system in cooperative institutions,

(h) state of good governance and responsibility in cooperative institutions,

(i) details of funds existing in cooperative institutions,

(j) matters necessary to assist in formulation of cooperative policy,

(k) details relating to registration, cancellation and dissolution of cooperative institutions,

(l) details of transaction, business, industry or project under Section 21 conducted by the institution or Association,

(m) other prescribed details.

101. [42]Membership of the Deposit and Credit Guarantee Fund to Be Obtained:–

(1) A cooperative institution conducting savings and credit transactions as well under this Act shall secure its savings and credit by obtaining secure membership of the Deposit and Credit Guarantee Fund established under the prevailing law.

(2) A cooperative institution conducting principal transactions of savings and credit shall provide updated details of the membership obtained and the security of savings and credit

[42]Amended by the Cooperatives (First Amendment) Act, 2083.

under sub-section (1) to the Authority, and other cooperative institutions shall provide such details to the Department.

102. Power to Operate Mutual Protection Service:–

(1) Notwithstanding anything contained in the prevailing law, an institution may, subject to the conditions of the plan approved by the Insurance Committee, operate a mutual protection service among its members for crop or livestock plans, so as to compensate a fixed portion of the damage caused by the reason mentioned in the plan, within the maximum limit and fee fixed.

(2) The minimum standard and other arrangements for an institution to operate a mutual protection service under sub-section (1) shall be as prescribed.

103. Stabilization Fund:–

(1) Savings and credit thematic institutions may mutually establish a stabilization fund to protect against potential risk in the operation of such institutions.

(2) Contribution to the fund under sub-section (1) may be made by interested cooperative institutions, cooperative institutions that are members of a savings and credit thematic central cooperative Association, the National Cooperative Federation, the National Cooperative Bank, [43]..... Nepal Rastra Bank, the Ministry, other bodies of the Nepal Government, and international cooperative Associations.

(3) The stabilization fund shall remain with the savings and credit thematic central Association.

(4) There shall be an operating committee for the stabilization fund, as prescribed, comprising representatives of the savings and credit central Association, National Cooperative Bank, National Cooperative Federation, the [44]Authority, Nepal Rastra Bank, the Ministry, Ministry of Finance, and the Department.

(5) Institutions participating in the stabilization fund may deposit the prescribed amount out of the amount set aside from annual savings to the reserve fund under Section 68.

(6) The amount of the stabilization fund shall be kept in an account opened at a prescribed bank.

(7) The stabilization fund may be used for the following purposes:—

(a) to provide loans to maintain the liquidity of participating institutions and to rescue distressed cooperatives,

(b) to bear the expenses of the management committee formed under Section 105 where a participating institution is in a distressed condition,

[43]Omitted by the Cooperatives (First Amendment) Act, 2083.
[44]Amended by the Cooperatives (First Amendment) Act, 2083.

(c) to be used, where a participating institution becomes distressed and the Federation takes over the responsibility of operating such institution under clause (d) of Section 114, for payment of the liabilities of such institution and for its resumed operation,

(d) to bear the expenses of the operating committee of the stabilization fund and for other prescribed purposes.

(8) Other arrangements relating to operation of the stabilization fund shall be as prescribed.

Chapter-17A
[45]National Cooperative Regulatory Authority

103A. Establishment of the Authority:–

(1) A National Cooperative Regulatory Authority is hereby established to regulate cooperative institutions conducting principal transactions of savings and credit within the working area of the Federation, Province and Local Level.

(2) The central office of the Authority shall be located in the Kathmandu Valley.

(3) The Authority shall contact the Nepal Government through the Ministry.

(4) The Nepal Government may give necessary directives with respect to the functioning of the Authority.

(5) The Authority shall submit its annual report to the Nepal Government.

(6) The Nepal Government shall submit the report under sub-section (5) to the concerned committee of the Federal Parliament.

103B. Authority to Be an Autonomous and Organized Institution:–

(1) The Authority shall be an autonomous, self-governed and organized institution having perpetual succession, and shall acquire a legal personality.

(2) The Authority shall exercise powers, perform duties, and discharge liabilities under the prevailing law, in the capacity of a legal person.

103C. Formation of the Authority:–

(1) The Authority shall be formed as follows:—

(a) One person, appointed by the Nepal Government from among persons who have obtained at least a post-graduate degree in economics, commerce, management, accounting, law or cooperatives, and who have worked in a gazetted special class post or equivalent post of the Nepal Government, or who have at least fifteen years' work experience in an international or national level bank or financial institution or cooperative institution — Chairperson

[45]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

(b) Executive Director, Nepal Rastra Bank — Member

(c) Joint Secretary of the Ministry looking after the cooperative sector — Member

(d) One expert, appointed by the Nepal Government, having at least a post-graduate degree in economics, commerce, management, accounting, law or cooperatives, and at least ten years' work experience in an international or national level bank or financial institution or cooperative institution — Member

(e) One Chartered Accountant, appointed by the Nepal Government, from among Chartered Accountants having at least ten years' work experience — Member

[46](f) Registrar of the Department — Member

[47](g) Executive Director of the Authority — Member-Secretary

[48](2) In the absence of the Executive Director, a senior employee of the Authority shall act as the Member-Secretary.

[49](2A) The Chairperson, a member or the Executive Director of the Authority shall not be removed from office before completion of his/her term unless undue influence, political interference, or any offence or corruption is proven, and they shall remain separate (recusal) from the decision-making process of the concerned cooperative institution on any matter in which their own or their family's interest conflicts.

[50](2B) The functions, duties and powers of the Executive Director of the Authority shall be as prescribed.

(3) Where the post of Chairperson of the Authority falls vacant for any reason, the Nepal Government shall designate a gazetted special class officer of the Nepal Government to act in the post of Chairperson.

103D. Disqualification:–

The following persons shall not be qualified to be appointed to, or remain in, the post of Chairperson or member:—

(a) a non-Nepalese citizen,

(b) a person who has been convicted by a court of corruption, rape, human trafficking and transportation, sale, distribution or transportation of narcotic drugs, misappropriation of the amount of a bank or financial institution or cooperative, fraud, money laundering, illegal transportation of wildlife, organized crime, misuse of passport, kidnapping, or any other criminal offence involving moral turpitude,

[46]Inserted by the Cooperatives (First Amendment) Act, 2083.
[47]Inserted by the Cooperatives (First Amendment) Act, 2083.
[48]Amended by the Cooperatives (First Amendment) Act, 2083.
[49]Inserted by the Cooperatives (First Amendment) Act, 2083.
[50]Inserted by the Cooperatives (First Amendment) Act, 2083.

(c) a person who has obtained permanent residency of a foreign country, or has applied for such permit,

Explanation: For the purpose of this clause, "permanent residency" means a Diversity Immigrant Visa (DV), Permanent Resident Visa (PR), or Green Card, made available to a Nepalese citizen by a foreign country, with or without conditions, enabling permanent residence in that country, and this term also includes any permanent residency permit, by whatever name called, given to a Nepalese citizen to reside permanently abroad,

(d) a person who has been blacklisted under the prevailing law for failing to repay a loan of a bank or financial institution or cooperative institution.

103E. Appointment of the Chairperson and Expert Member of the Authority:–

(1) There shall be a recommendation committee, constituted as follows, to select suitable persons and recommend them to the Nepal Government for appointment as Chairperson and member of the Authority:—

(a) Chairperson of the Public Service Commission, or a member of that Commission designated by the Chairperson — Coordinator

(b) One person designated by the Ministry from among former Finance Secretaries of the Nepal Government — Member

(c) One expert designated by the Ministry, from among persons having at least fifteen years' work experience in the economic and financial, legal or cooperative sector — Member

(2) The recommendation committee under sub-section (1) shall, by giving fifteen days' notice, publish a notice in a national-level daily newspaper and call for applications from Nepalese citizens meeting the following qualifications:—

(a) meets the qualification under Section 103C,

(b) is not disqualified under Section 103D,

(c) has not attained the age of sixty years.

(3) An interested person meeting the qualifications within the period mentioned in the notice under sub-section (2) shall submit an application to the recommendation committee, with the following documents:—

(a) a copy of the certificate of Nepalese citizenship,

(b) a copy of documents showing minimum educational qualification and experience,

(c) a self-declaration.

(4) A person submitting an application under sub-section (3) shall also submit, along with such application, a professional work-plan relating to regulation of cooperative

institutions and Associations, prepared in not more than five thousand words, sealed separately.

(5) The recommendation committee under sub-section (1) shall, subject to the standard framed by it, recommend up to three names for each post to the Nepal Government, to the extent available, for appointment to the post of Chairperson and member.

(6) The Nepal Government shall appoint the Chairperson and member from among the persons recommended under sub-section (5).

(7) The term of office of the Chairperson and member shall be four years, and they shall be eligible for reappointment for one further term only.

(8) Notwithstanding anything contained in sub-section (7), where the Chairperson or member fails to responsibly discharge official duties, the Nepal Government may remove such person from office at any time.

Provided that, before removing such person from office, a reasonable opportunity shall be given to such person to present a defence.

103F. Vacancy of Post of Chairperson and Member of the Authority:–

The post of Chairperson or member of the Authority shall be deemed vacant in any of the following circumstances:—

(a) where the resignation submitted by such person before the Nepal Government is accepted,

(b) where such person lacks or ceases to have the qualification under clause (a), (d) or (e) of sub-section (1) of Section 103C, or becomes disqualified under Section 103D,

(c) where the term of such person expires under sub-section (7) of Section 103E,

(d) where such person is removed from office by the Nepal Government under sub-section (8) of Section 103E,

(e) where such person dies.

103G. Meeting of the Authority:–

(1) The meeting of the Authority shall be held at least once a month.

(2) The meeting of the Authority shall be held at the date, time and place fixed by the Chairperson, and, where the post of Chairperson is vacant, by the senior member.

Explanation: For the purpose of this Section, "senior member" means the member who was appointed earlier.

(3) The Secretary shall make available to all members the list, together with matters to be discussed at the meeting, at least twenty-four hours before the meeting is held.

(4) The Chairperson shall preside over the meeting of the Authority, and, in the Chairperson's absence, the senior member present shall preside.

(5) Where three members are present at a meeting of the Authority, the quorum for the meeting of the Authority shall be deemed to have been met.

(6) The opinion of the majority shall prevail at the meeting of the Authority, and, in the event of a tie, the person presiding shall exercise the casting vote.

(7) The Authority may invite an expert on the concerned subject to a meeting, as necessary.

(8) For the purpose of recording decisions of the Authority, arrangements shall be made for a separate book, and each decision shall be recorded in such book, and such book shall be signed by all members present at the meeting.

(9) Other procedures relating to meetings of the Authority shall be as determined by the Authority itself.

103H. Functions, Duties and Powers of the Authority:–

(1) The functions, duties and powers of the Authority shall be as follows:—

(a) to frame and implement national standards on matters including registration, regulation, monitoring, supervision and reporting systems of cooperative institutions conducting principal transactions of savings and credit,

(b) to issue regulatory (prudential) standards relating to the operation of cooperative institutions conducting principal transactions of savings and credit,

[51](b1) to provide, or cause to be provided, necessary facilitation for the recovery of loans of cooperative institutions,

(c) to regulate, monitor and supervise cooperative institutions conducting principal transactions of savings and credit,

(d) to have some of the powers vested in the Authority implemented through the Registrar, provincial Registrar, and the officer looking after cooperatives at the local level,

(e) to perform necessary functions to ensure protection of depositors' savings, regularly inspect cooperative institutions conducting principal transactions of savings and credit, receive complaints, inquire into complaints received, and give directives to the concerned institution,

(f) to conduct, in coordination with the Institute of Chartered Accountants of Nepal, prudential audit of cooperative institutions conducting principal transactions of savings and credit, by preparing a roster for regulation and supervision,

(g) to implement the cooperative management information reporting system at the federal, provincial and local level,

[51]Inserted by the Cooperatives (First Amendment) Act, 2083.

(h) to designate inspection officers as necessary to inspect cooperative institutions conducting principal transactions of savings and credit,

(i) to coordinate with the province and local level for cooperative institutions conducting principal transactions of savings and credit at the provincial and local level, so as to jointly regulate, monitor and supervise them,

(j) to perform other prescribed functions relating to regulation.

(2) In taking action on, and settling, a complaint of misappropriation of savings amounts and other complaints filed before the Authority, the Authority shall have the same power as a District Court under the prevailing law to do the following:—

(a) to cause any person to appear before the Authority to give a statement or obtain information,

(b) to examine witnesses,

(c) to order any body of the Nepal Government, Provincial Government or Local Level, or any public institution, to submit any document in its possession,

(d) to carry out or cause to be carried out on-site inspection and order the submission of material evidence,

[52](e) to order the return of the savings amounts of depositors, fixing a specified period,

[53](f) to proceed with action by causing the concerned person to appear before the Authority, with the assistance of Nepal Police and other bodies as necessary,

[54](g) to freeze the movable and immovable property in the name of, and to impose restrictions on foreign travel of, the directors and responsible employees of a cooperative institution conducting principal transactions of savings and credit which does not return the savings amount, or does not cooperate in such act, as per the order given by the Authority under clause (e), and the family members involved in the misappropriation or misuse of the property of the cooperative through transactions or dealings, or other concerned persons,

[55](h) where the savings amount of depositors is not returned even after adopting the process under clauses (e), (f) and (g), to write to the concerned police office to initiate action under the prevailing law against the directors, responsible employees, other concerned persons or their family members of such cooperative institution conducting principal transactions of savings and credit.

(3) The Authority may impose a fine ranging from five lakh rupees to fifteen lakh rupees on a cooperative institution conducting principal transactions of savings and credit that

[52]Inserted by the Cooperatives (First Amendment) Act, 2083.
[53]Inserted by the Cooperatives (First Amendment) Act, 2083.
[54]Inserted by the Cooperatives (First Amendment) Act, 2083.
[55]Inserted by the Cooperatives (First Amendment) Act, 2083.

fails to comply with, or cause compliance with, any matter under this Act or the Rules framed under this Act, and may write to the concerned body to cancel the registration of such cooperative institution.

(4) The Authority may impose a fine ranging from one lakh rupees to five lakh rupees on a director, office-bearer, manager or employee of a cooperative institution conducting principal transactions of savings and credit who violates this Act or the Rules framed under this Act, and may write for action to be taken against such director, office-bearer, manager or employee under the prevailing law.

(5) A person not satisfied with a decision made by the Authority under sub-section (3) or (4) may appeal to the concerned High Court within thirty-five days from the date of such decision.

(6) While performing work relating to regulation of cooperative institutions conducting principal transactions of savings and credit under this Act, the Authority shall also comply with the directives and standards issued by Nepal Rastra Bank under Section 23A.

(7) The Authority may fix necessary conditions relating to collateral or guarantee of a third party.

(8) Notwithstanding anything contained elsewhere in this Act, there shall be no bar on the Authority regulating, monitoring and supervising a cooperative institution conducting principal transactions of savings and credit, and such regulation, monitoring and supervision shall be carried out in coordination with the concerned level.

[56](9) The Authority may delegate some of the powers vested in it under this Act or the Rules framed under this Act to the Chairperson, a member or an employee.

103I. Functions, Duties and Powers of the Chairperson of the Authority:–

The functions, duties and powers of the Chairperson of the Authority shall be as follows:—

(a) to preside over meetings of the Authority,

(b) to act as the administrative head of the Authority,

(c) to monitor, supervise and evaluate the overall work of the Authority, and give necessary directives to the concerned party,

(d) to perform other prescribed functions.

103J. Division of Work of Members of the Authority:–

The division of work of members of the Authority shall be as determined by the Authority.

[56]Inserted by the Cooperatives (First Amendment) Act, 2083.

103K. Service, Terms and Facilities of the Chairperson and Expert Member of the Authority:–

(1) The Chairperson and expert member of the Authority shall be full-time office-bearers of the Authority.

(2) The remuneration, facilities and service terms of the Chairperson and member shall be as fixed by the Nepal Government, Council of Ministers.

103L. Oath to Be Taken:–

Before assuming their duties, the Chairperson and member of the Authority shall take an oath of office and secrecy, in the format under the prevailing law relating to oaths, before the concerned Minister.

103M. Fund of the Authority:–

(1) The Authority shall have a separate fund.

(2) The following amounts shall be credited to the fund under sub-section (1):—

(a) amount received from the Nepal Government,

(b) amount received from any foreign government or international organization,

(c) amount received from other sources.

(3) Prior approval of the Ministry of Finance of the Nepal Government shall be obtained before receiving the amount under clause (b) of sub-section (2).

(4) The amount of the fund of the Authority shall be deposited in an account opened at a Class "A" commercial bank licenced under the prevailing law relating to banks and financial institutions.

(5) The operation of the fund and account of the Authority shall be as prescribed.

103N. Audit of the Fund of the Authority:–

(1) The accounts of income and expenditure of the Authority shall be maintained in accordance with the accounting system adopted by the Nepal Government.

(2) The final audit of the income and expenditure accounts of the Authority shall be conducted by the Auditor General.

103O. Not to Misuse Regulatory Opportunity:–

(1) The Chairperson and member of the Authority, employees of the Authority, an auditor auditing a cooperative institution, or any person, firm or company under contract with the Authority, shall not provide any confidential information that has come to their knowledge while performing functions in their official capacity or on behalf of the Authority, to any person or institution, other than in circumstances where such information is required to be made available under the law.

(2) An office-bearer under sub-section (1) shall not use, or cause to be used, any confidential information that has come to their knowledge while performing functions in their official capacity, for the benefit, facility, concession or advantage of themselves or any member of their family.

(3) The Chairperson, member, employees of the Authority, an auditor listed by the Authority, or any person, firm or company under contract with the Authority, shall not take or give any kind of benefit, facility, concession or advantage to themselves, their family, or anyone else, while performing any work in their official capacity or on behalf of the Authority.

(4) Where any person acts contrary to this Section, such person shall be deemed not to have performed work in accordance with official duty, and action shall be taken under the prevailing law.

103P. Professional Conduct to Be Complied With:–

The Chairperson, member and employees of the Authority shall comply with prescribed professional conduct while remaining in office, and even after leaving office.

103Q. Provisions Relating to Employees:–

(1) There shall be employees in the Authority in the number approved by the Nepal Government for the operation of the Authority's work.

(2) The appointment, remuneration, service terms and facilities of employees of the Authority shall be as prescribed.

(3) Until the Authority has its own employees under sub-section (1), the concerned body may, in coordination with the Ministry, depute an employee working in any body or office of the Nepal Government, or Nepal Rastra Bank, or a bank or financial institution mostly owned by the Nepal Government, to work in the Authority, drawing salary and allowances from the Authority itself.

(4) The Authority may appoint expert, technical and support-level staff on contract as necessary for the performance of its functions.

(5) The Authority shall obtain the approval of the Ministry of Finance of the Nepal Government before undertaking any act that would create an additional financial liability for the Nepal Government.

Chapter-18
Distressed Institution or Association

104. Institution or Association May Be Declared Distressed:–

(1) Where, from an inspection or examination of accounts carried out under this Act, any of the following circumstances is found to exist in any institution or Association, the

Registrar shall recommend to the Ministry to declare such institution or Association a distressed institution or Association:—

(a) where an act contrary to the interest of members has been carried out,

(b) where the institution or Association has failed to fulfil its financial liability, or has been unable to pay a payable liability, or is in a condition where it is unable to make such payment,

(c) where members' savings cannot be returned as per the prescribed conditions,

(d) where the institution or Association has been operated contrary to this Act, the Rules or bylaws framed under this Act,

(e) where the institution or Association is likely to become insolvent, or is facing significant economic difficulty,

(f) where at least [57]ten percent of the members of an institution or Association submit an application to the Registrar alleging that the institution or Association has failed to return members' savings within the prescribed period, and upon inquiry it is found that any circumstance from clause (a) to (e) exists.

[58](1A) Where, upon scrutiny of a complaint received by the Authority, or in the course of inspection, it is found that a cooperative institution conducting principal transactions of savings and credit has any circumstance mentioned in sub-section (1), the Authority shall recommend to the Ministry to declare such institution a distressed institution.

[59](1B) Before recommending a declaration of distressed condition under sub-sections (1) and (1A), the Registrar or the Authority shall take control of, or freeze, the movable and immovable property, transactions, bank accounts, shares, loan documents, and electronic records of the director, borrower member, manager, responsible employee, members of the accounts supervision committee, responsible persons including members of the loan sub-committee, and former directors and other persons found to be involved in misappropriation, transactions, and losses of the cooperative institution concerned, and shall also impose restrictions on their foreign travel.

[60](2) Where a recommendation is received under sub-section (1) or (1A), the Ministry may declare such institution or Association a distressed institution or Association.

(3) Notwithstanding anything contained in this Section, where a commission formed by the Nepal Government under the prevailing law recommends that any institution or Association be declared distressed, or identifies it as distressed, or on the basis of the

[57]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[58]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[59]Inserted by the Cooperatives (First Amendment) Act, 2083.
[60]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

number and merit of complaints filed before such commission, the Ministry may declare such institution or Association a distressed institution or Association.

[61](4) Matters relating to declaring a distressed condition and proceeding with action against cooperative institutions within the regulatory jurisdiction of a Province and Local Level shall be governed by the prevailing law relating to cooperatives of the concerned Province and Local Level; and it shall be the duty of all concerned to provide the assistance sought under Section 119 by the management committee formed to manage the property and settle the liabilities of such institutions accordingly.

105. Formation of Management Committee:–

(1) Where any institution or Association is declared a distressed institution or Association under this Act, the Nepal Government shall form a management committee to manage the property and pay the liabilities of such distressed institution or Association.

(2) The management committee under sub-section (1) shall consist of the following Chairperson and members:—

(a) a person appointed by the Nepal Government from among persons who have served as a Judge of the High Court, or in an equivalent post, or who have worked in a gazetted special class post of the Nepal Judicial Service — Chairperson

(b) one person nominated by the Nepal Government from among persons who have worked at least in a gazetted first class post or equivalent post of the civil service — Member

(c) one director representative designated by the National Cooperative Federation — Member

(d) two persons nominated by the Nepal Government from among experts in the cooperative sector — Member

(e) one person nominated by the Nepal Government from among persons who have worked at least at the ninth level or equivalent post, or as a Chartered Accountant, with at least three years' experience in the supervision of banks and financial institutions — Member

(f) a gazetted second class officer designated by the Nepal Government — Member-Secretary

(3) The term of office of the Chairperson and members of the management committee shall be a maximum of two years from the date of appointment, and the Nepal Government may extend their term by up to two further years as necessary.

[61]Inserted by the Cooperatives (First Amendment) Act, 2083.

(4) Notwithstanding anything contained in sub-section (3), where the performance of the Chairperson or a member of the management committee is not satisfactory, the Nepal Government may remove such person from office at any time.

(5) Before removing the Chairperson or a member of the management committee from office under sub-section (4), a reasonable opportunity shall be given to such person to present a defence.

(6) The Nepal Government shall fill any post of the management committee that becomes vacant under sub-section (4), subject to sub-section (2).

(7) The procedure relating to meetings of the management committee shall be as determined by the committee itself.

106. Functions, Duties and Powers of the Management Committee:–

The functions, duties and powers of the management committee shall be as follows:—

(a) to exercise the entire authority which the general assembly, committee and accounts supervision committee of the distressed institution or Association are entitled to exercise under this Act, the Rules or bylaws framed under this Act,

(b) to cause the members of the committee of the distressed institution or Association, their family, relatives, employees of the institution, employees of other institutions, Associations or companies related to the institution or Association, or other persons or institutions known to be, or acting in collusion with, such related parties, and any other person the management committee deems necessary, to appear before the management committee, question them, take their statement, and cause necessary documents to be submitted,

(c) to collect definite details and data of the property and liabilities of the distressed institution or Association, and to study, analyze, assess and evaluate the same,

(d) to take charge of the property of the distressed institution or Association,

(e) to take control of the entire management of decisions and records, including work and proceedings, of the distressed institution or Association,

(f) to recover loans, outstanding dues and other amounts receivable by the distressed institution or Association, following the procedure under this Act, the Rules or bylaws framed under this Act,

(g) to auction, as necessary, property kept as collateral of the distressed institution or Association, under this Act, the Rules or bylaws framed under this Act,

(h) to sell, use and manage the property of the distressed institution or Association,

(i) to prepare records of savings and share amounts of members and depositors of the distressed institution or Association,

(j) to return or make payment of savings to members and depositors,

(k) to exercise all the powers vested in a liquidator under this Act or the Rules framed under this Act, for the purpose of managing the property and paying the liabilities of the distressed institution or Association,

(l) where it is found that the [62]director, former director, office-bearer of the accounts supervision committee and sub-committee, manager and employee, or their family or relative, of the distressed institution or Association has used the depositors' savings, fully or partly, in any company, institution, or economic transaction or business, to take possession of the amount so used, or of any property increased therefrom, and to take necessary action, including auction or recovery, to make good the depositors' savings from such property,

(m) to file [63]suits or legal proceedings, and to defend legally, on behalf of the distressed institution or Association,

(n) to take possession of the movable and immovable property of the institution or Association kept in the name of the [64]director, former director, office-bearer of the accounts supervision committee and sub-committee, manager and employee, or their family or relative, or other person, of the distressed institution or Association, or of the immovable property purchased from the property of the institution or Association, and to cause it to be returned to depositors, including by auctioning such property,

[65](o) for the purpose of loan recovery, to perform or cause to be performed necessary acts including demanding payment from borrowers with conditions, making public the names and details of borrowers along with their three-generation details, freezing and auctioning the property and transactions of borrowers, writing to the concerned body for action, and imposing restrictions on foreign travel,

[66](p) to frame and implement, or cause to be implemented, the procedures and standards necessary for the performance of its functions.

106A. [67]Expert Team May Be Formed:–

(1) The management committee may form an expert team to obtain necessary services for the management of property and liability under Section 106 of the distressed cooperative institution.

[62]Amended by the Cooperatives (First Amendment) Act, 2083.
[63]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[64]Amended by the Cooperatives (First Amendment) Act, 2083.
[65]Inserted by the Cooperatives (First Amendment) Act, 2083.
[66]Inserted by the Cooperatives (First Amendment) Act, 2083.
[67]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

(2) The formation procedure of the expert team under sub-section (1), and the functions, duties and powers of such team, shall be as fixed by the management committee itself at the time of forming the team.

(3) A separate expert team shall be formed for each distressed cooperative institution while forming an expert team under sub-sections (1) and (2).

107. Preparation of Records:–

For the purpose of Section 106, the management committee shall prepare records of the following:—

(a) names and details of members, depositors, borrowers, or persons or institutions to whom payment is owed by the distressed institution or Association,

(b) immovable property, including apartments, in the name of, or invested in by, the distressed institution or Association,

(c) cash, gold, silver and share investments in the accounts of banks and financial institutions in the name of a member of the committee, employee, or family member or relative of the distressed institution or Association,

(d) land and buildings kept as collateral by the distressed institution or Association for obtaining loans,

(e) movable and immovable property of the distressed institution or Association located anywhere within or outside the country.

108. Provisions Relating to Payment of Liability:–

(1) The management committee shall establish the following priority for payment of the liability of the distressed institution or Association:—

(a) payment of savings to a member as per the terms fixed at the time of depositing savings,

(b) payment of outstanding government dues or claims, where such claims exist on the property or property under clause (l) of Section 106 of such institution or Association,

[68](c) payment to persons who have advanced amounts in order to conduct any transaction or business with the distressed institution or Association,

(d) payment to creditors of the distressed institution or Association.

(2) Where the property of the distressed institution or Association is insufficient to pay the entire liability under this Section, the management committee may make payment of the liability, in returning members' savings and other liabilities, on a pro-rata basis, giving priority to small depositors designated by the management committee.

[68]Amended by the Cooperatives (First Amendment) Act, 2083.

108A. [69]Special Provisions Relating to Return of Savings Amount:–

(1) Notwithstanding anything contained elsewhere in the prevailing law, savings of up to five lakh rupees deposited by a member of a cooperative institution, or of a cooperative institution declared distressed under Section 104, shall be paid on a first-priority basis.

(2) Where savings deposited by a member exceeding five lakh rupees cannot be paid at once by the concerned institution, an arrangement shall be made to pay the member's savings amount proportionately, by framing a standard.

(3) For the purpose of returning savings amounts under this Section, the cooperative institution or the management committee under Section 105 may sell the security taken as collateral of the property or loan of such institution.

(4) Before selling the collateral security taken while providing a loan under sub-section (3), time shall be given to the concerned borrower to pay off the loan of the cooperative institution, and where the loan is not paid off within such period, such collateral security shall be sold by auction. Where, upon sale of such collateral security, an amount is received in excess of the amount payable by the borrower, the borrower's amount shall be settled and the remaining amount returned to the borrower.

(5) A cooperative institution may use the amount received by leasing or renting out house, land or other machinery, tools or equipment, for the purpose of returning the savings amount of depositor members, after recovering such amount.

(6) Where, due to the filing of a case under this Act, or for any other reason, the property or collateral security of a cooperative institution has been restrained by a court or any other body, and it is confirmed that the savings amount of depositor members can be returned by selling such property or collateral security, the cooperative institution or the management committee under Section 105 may request the concerned court or body to release the restraint.

(7) Where a request is made under sub-section (6), the concerned court or body shall release the restraint on such property or collateral security, unless it needs to be restrained for any other reason.

(8) For the purpose of returning the savings amount of at-risk depositors, the savings amount of depositor members shall be returned by framing a standard and time-bound return action plan.

108B. [70]Establishment of Revolving Relief Fund:–

(1) For the purpose of Section 108A, the Nepal Government may establish a revolving relief fund in the management committee for the purpose of immediately returning the

[69]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[70]Inserted by the Cooperatives (First Amendment) Act, 2083.

savings of the members of a distressed cooperative institution who have submitted claims under Section 112A.

(2) The fund under sub-section (1) shall consist of the following amounts:-

(a) amount received from the Nepal Government,

(b) amount returned by the concerned institution by way of reimbursement,

(c) amount received from other sources.

(3) The management committee shall deposit the amount received under sub-section (2) by opening a separate account of the fund in a Class "A" commercial bank, and shall keep separate records thereof.

(4) The amount in the account of the fund shall not lapse (freeze) at the end of the fiscal year.

(5) The amount received from the Nepal Government in the fund shall be spent only for the purpose of clause (a) of sub-section (1) of Section 108, by keeping separate records of its income and expenditure.

(6) The management committee shall progressively reimburse the amount received from the Nepal Government in the fund from the amount recovered from the movable and immovable property of the borrowers within the jurisdiction of the distressed institution and from other sources.

(7) Other arrangements relating to the operation of the fund shall be as per the procedure framed by the Nepal Government, Council of Ministers.

109. Power May Be Delegated:–

The management committee may delegate the powers vested in it while managing the property of the distressed institution or Association to the Chairperson, a member of the management committee, or any government employee, so as to exercise and comply with such powers.

110. [71]Nepal Government to Provide Funds:–

(1) Expenses incurred in the course of managing the property of a distressed institution or Association shall be borne from the property of such institution or Association.

(2) Where the expenses under sub-section (1) cannot be borne from the property of the institution or Association, the Nepal Government may provide the necessary amount for that purpose.

[71]Amended by the Cooperatives (First Amendment) Act, 2083.

111. Power to Automatically Stand Suspended:–

(1) From the date the management committee is formed under this Act, the powers of the committee, manager and employees of the distressed institution or Association shall automatically stand suspended once the management committee commences its work.

(2) Notwithstanding anything contained in sub-section (1), the management committee may release the suspension of a member of the committee, manager or employee of such institution or Association for the purpose of managing the property and paying the liability of the distressed institution or Association, and depute them for such work.

(3) Where deputed for work under sub-section (2), it shall be the duty of the concerned person to fulfil such responsibility.

112. Notice to Be Given for Submitting Claim:–

After commencing work, the management committee shall publish a public notice in a national-level daily newspaper, giving a period of at least fifteen days, to members, depositors and creditors of the distressed institution or Association to submit a claim for the amount receivable by them.

112A. [72]Claim to Be Submitted:–

After a notice is published under Section 112, members, depositors, creditors, and lending banks and financial institutions of the distressed cooperative institution shall submit a claim for the amount receivable by them.

113. Audit Report to Be Prepared:–

The management committee shall, within six months from the date it commences work, conduct an audit of such distressed institution or Association, prepare a report thereof, and make it public.

114. Remedial Action May Be Taken:–

Where there is a basis and reason, on the basis of the audit report prepared under this Act, that the distressed institution or Association may be able to resume operation, the management committee may take the following remedial action:—

(a) to order the committee to manage or conduct the business,

(b) to form an interim committee from among the shareholder members of the concerned institution or Association, and cause it to manage or conduct the business,

(c) to dissolve the committee and convene the general assembly of such institution or Association, to form a new committee to manage or conduct the business,

(d) to give the responsibility of resumed operation to the central thematic cooperative Association or National Cooperative Federation of which the concerned institution or Association is a member, subject to prescribed terms and conditions, where such

[72]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

Association or federation submits a credible action plan for resumed operation of the distressed Association or institution,

(e) to adopt other appropriate corrective and remedial measures deemed suitable by the management committee.

115. Management Committee May Write:–

(1) The management committee may write to the concerned body to do the following, in connection with managing the property or paying the liability of the distressed institution or Association:—

(a) to restrain the economic transaction, account, or other movable and immovable property, held in any bank or financial institution, of the [73]director and borrower member, manager or employee of the committee, or family member of such person, or the institution or Association,

(b) not to issue a passport to the [74]director and borrower member, manager or employee of the committee, or, if already issued, to restrain such passport,

[75](b1) to keep in place the auction, sale, transfer, registration transfer and freeze of the movable and immovable property of a cooperative institution which is under double freeze,

(c) to include the name of a member or person who does not repay a loan to the distressed institution or Association in the blacklist.

(2) Where written to under sub-section (1), the concerned body shall act accordingly and inform the management committee thereof.

116. Recommendation May Be Made:–

(1) The management committee may recommend to the concerned body for departmental action or other necessary action against an office-bearer or employee of any body who fails to cooperate in, or creates obstruction to, the work of managing the property or paying the liability of the distressed institution or Association.

(2) Where a recommendation is received under sub-section (1), the authority concerned shall complete the procedure prescribed under the prevailing law and take departmental or other necessary action against such office-bearer or employee.

(3) Where, in the course of managing the property or paying the liability of the distressed institution or Association, the management committee has reasonable grounds to believe that an offence under Section 122 has been committed, it shall carry out investigation and inquiry under this Act and write to the authority empowered to file a case.

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[73]Amended by the Cooperatives (First Amendment) Act, 2083.
[74]Amended by the Cooperatives (First Amendment) Act, 2083.
[75]Inserted by the Cooperatives (First Amendment) Act, 2083.

117. Report to Be Submitted:–

The management committee shall, within one month of completion of the work of managing the property or paying the liability of the distressed institution or Association, submit a report to the Ministry specifying the following details:—

(a) return of members' savings amounts,

(b) liability paid,

(c) detailed particulars of the remaining property and liability,

(d) suggestions relating to policy to be adopted by the Nepal Government regarding the operation of the institution or Association,

(e) other details deemed appropriate by the management committee.

118. Service Terms of the Chairperson and Members of the Management Committee:–

(1) The Chairperson and members of the management committee shall be full-time office-bearers.

(2) The remuneration and facilities of the Chairperson and members of the management committee shall be as fixed by the Nepal Government.

(3) The Chairperson and members of the management committee shall not disclose any information or notice that has come to their knowledge in the course of discharging their official duties, to an unauthorized person.

119. Assistance May Be Sought:–

(1) The management committee may seek the assistance of other bodies, as necessary, while exercising its functions, duties and powers.

(2) It shall be the duty of all concerned to provide the assistance sought under sub-section (1) by the management committee.

(3) The management committee may proceed with its work relating to the management of property or payment of liability of the distressed institution or Association in coordination with the concerned bodies.

120. Expert Service May Be Obtained:–

(1) The management committee may obtain the services of technicians or experts on the concerned subject as necessary.

(2) The management committee may provide remuneration and facilities for obtaining the services of a technician or expert, following the procedure prescribed under the prevailing law relating to public procurement.

121. Provisions Relating to Employees of the Management Committee:–

The Ministry shall make available necessary manpower and physical resources for the secretariat of the management committee.

Chapter-19
Offence, Punishment, Fine and Appeal

122. Deemed to Have Committed an Offence:–

A person shall be deemed to have committed an offence under this Act if such person does any of the following:—

(a) operates a cooperative institution without registration or after its registration has been cancelled, or any person, firm or company conducts any transaction, business, service or other act using the word "cooperative" or its English rendering in its name,

(b) uses the savings of a member for any purpose other than as provided under this Act and the Rules made under this Act,

(c) provides a loan exceeding the prescribed amount without keeping guarantee or security,

(d) a director, manager or employee of the committee misappropriates the property, savings or share amount of the cooperative institution,

(e) provides a loan to a member of the committee, their relative, or any other person or employee in a manner that the loan becomes unrecoverable, thereby misappropriating the amount,

(f) any member of the committee, alone or in collusion with other members, mobilizes the share or savings amount of the cooperative institution at will, causing loss or damage to the cooperative institution,

(g) obtains a loan by submitting false or incorrect details, or where the collateral kept is fictitious, or misappropriates a loan,

(h) invests contrary to this Act and the Rules and bylaws framed under this Act, or collects an amount for the purpose of investment,

(i) creates or causes to be created an artificial business to take or give a loan,

(j) takes or gives a loan by abnormally overvaluing collateral,

(k) increases the project cost abnormally, on the basis of false details, to take or give an excessive loan,

(l) takes or gives a re-loan by keeping the same security in another institution, without lawfully releasing the security already provided once to any person or cooperative institution, or in an amount exceeding the recorded value of such security,

(m) uses a loan facility obtained from a cooperative institution for a purpose other than that for which it was obtained,

(n) alters any matter written in a document or account of a cooperative institution by erasing or removing it in such a manner as to give it a different meaning, or by fabricating it, or by maintaining a separate ledger, with intent to gain benefit for

oneself or another, or to cause loss or damage; or commits forgery by preparing or causing to be prepared a document with intent to cause loss or damage to another by making a false statement or an untrue statement as to something having occurred, with a different date, figure or wording, and by signing or causing signature thereon,

(o) as an appraiser, in valuing movable or immovable property kept as collateral for a loan for the purpose of auction or other purposes, causes loss or damage to the cooperative institution by overvaluing, undervaluing or wrongly valuing such property,

(p) with intent to cause loss or damage to a cooperative institution, causes any act to be done or not to be done, gives or takes any consideration, gives or takes any goods or service without payment or at a lower price, gives or takes any donation, charity, gift or contribution, prepares or causes to be prepared a false document, translates or causes to be translated, or performs or causes to be performed any act with malicious intent to obtain illegal benefit or cause loss,

(q) conducts audit, or prepares or causes to be prepared, or gets signed, a false audit report causing loss or damage to a cooperative institution or its member or depositor or any of them.

123. Protection for Acts Done in Good Faith:–

(1) The Ministry, the Department, or an office-bearer or employee of a cooperative Association or institution shall not be individually or collectively liable in respect of any act done in good faith under the Rules, bylaws or directives framed under this Act.

(2) Notwithstanding anything contained in sub-section (1), no protection shall be available for an act done without following procedure and with mala fide intent.

124. Punishment:–

(1) A person who commits an offence under Section 122 shall be liable to the following punishment:—

(a) for an offence under clause (a), (c), (m) or (q), imprisonment for a term up to one year and a fine up to one lakh rupees,

(b) for an offence under clause (l), imprisonment for a term up to two years and a fine up to two lakh rupees,

(c) for an offence under clause (b), a fine equal to the amount involved (bigo) and imprisonment for a term up to three years,

(d) for an offence under clause (d), (e), (f), (g), (h), (i), (j), (k), (o) or (p), the amount involved shall be recovered and a fine equal to the amount involved shall be imposed, together with imprisonment as follows:-

(1) imprisonment for up to one year, where the amount involved is up to ten lakh rupees,

(2) imprisonment from two years to three years, where the amount involved is more than ten lakh rupees and up to fifty lakh rupees,

(3) imprisonment from three years to four years, where the amount involved is more than fifty lakh rupees and up to one crore rupees,

(4) imprisonment from four years to six years, where the amount involved is more than one crore rupees and up to ten crore rupees,

(5) imprisonment from six years to eight years, where the amount involved is more than ten crore rupees and up to one arba (one hundred crore) rupees,

(6) imprisonment from eight years to ten years, where the amount involved is more than one arba rupees, whatever the amount may be,

(e) for an offence under clause (n), imprisonment for a term up to ten years.

(2) A person who attempts to commit an offence under Section 122, or who assists in the commission of such offence, shall be liable to half the punishment prescribed for the principal offender.

(3) Where a body or organization commits, or assists in the commission of, an offence under Section 122, the chief executive or office-bearer or the person acting in the capacity of chief executive of such body or organization shall be liable to the punishment prescribed under this Act.

125. Fine:–

(1) Where, upon a complaint filed by a person under Section 132, or in the course of inspection, monitoring or examination of accounts of a cooperative institution, or from any other circumstance, it is found that a person has done any of the following acts, the Registrar or the [76]Authority or an officer authorized by the Authority shall impose a fine of up to five lakh rupees on such person, having regard to the nature and gravity of such act:—

(a) charges interest from a member contrary to this Act or the Rules framed under this Act,

(b) maintains a gap of more than six percent between the interest rate on savings and loans provided by a cooperative institution,

(c) capitalizes interest accrued on a loan provided by a cooperative institution into the principal loan and charges interest thereon,

(d) provides a loan to a member exceeding the prescribed percentage of its primary capital fund,

[76]Amended by the Cooperatives (First Amendment) Act, 2083.

(e) invests loans to a member other than a member existing at the time of registration of the institution, before three months have elapsed since obtaining membership,

(f) collects savings exceeding fifteen times the primary capital fund,

(g) distributes share dividends exceeding fifteen percent of the [77]share capital,

(h) conducts transactions outside its working area, or conducts transactions with a non-member,

(i) grants membership to an artificial person contrary to this Act.

(2) Where, from the circumstances mentioned in sub-section (1), it is found that a person has done any of the following acts, the Registrar or the [78]Authority or an officer authorized by the Authority may impose a fine of up to three lakh rupees on such person, having regard to the nature and gravity of such act:—

(a) fails to comply with any directive or prescribed standard given under this Act or the Rules framed under this Act,

(b) fails to provide any details, documents, report, notice or information required to be given under this Act or the Rules framed under this Act,

(c) changes office-bearers of the committee or accounts supervision committee arbitrarily, without holding an election under this Act,

(d) fails to comply with a condition prescribed under sub-section (4) of Section 15,

(e) performs any other act contrary to this Act or the Rules framed under this Act.

(3) Before imposing a fine under sub-section (1) or (2), the Registrar or the Authority or an officer authorized by the Authority shall give the concerned person or cooperative institution an opportunity of at least fifteen days to present a defence.

(4) The power to impose a fine under sub-section (1) or (2) shall be exercised by the Registrar in respect of a provincial thematic cooperative Association, provincial cooperative Association, central thematic cooperative Association, specialized cooperative Association, National Cooperative Federation and cooperative bank, and by the officer authorized by the Registrar in respect of an institution, district thematic cooperative Association and district cooperative Association.

126. Restraint:–

(1) In addition to imposing a fine on the concerned cooperative institution under Section 125, the Registrar or officer authorized by the Registrar may restrain the transaction, property and bank account of such cooperative institution for up to three months, and may recommend the concerned body to restrain such property.

[77]Amended by the Cooperatives (First Amendment) Act, 2083.
[78]Amended by the Cooperatives (First Amendment) Act, 2083.

(2) Where a recommendation is received under sub-section (1), the transaction, property or bank account of such cooperative institution shall be restrained, and information thereof shall be given to the Registrar or officer authorized by the Registrar.

127. Double Fine:–

[79]..... Where a person or cooperative institution fined under Section 125 again commits the same offence, the Registrar or officer authorized by the Registrar shall impose double the fine for each subsequent occasion, from the second time onward.

128. Nepal Rastra Bank May Impose Punishment:–

(1) Notwithstanding anything contained elsewhere in this Act, Nepal Rastra Bank may impose the following punishment on a cooperative bank that violates the conditions fixed while granting a licence, an order issued from time to time, or any directive given in the course of inspection, supervision or regulation:—

(a) to caution or give written warning,

(b) to require the committee to give an undertaking to take corrective measures,

(c) to issue a written order to stop repeated violation, refrain therefrom, and take corrective measures,

(d) to impose partial or full restriction on transactions,

(e) to suspend or cancel the licence of the institution.

(2) Where a director or employee of a cooperative bank violates an order, directive or condition of a licence issued by Nepal Rastra Bank, or fails to provide documents, details, data or records demanded in the course of inspection and supervision within the specified time, or acts contrary to the interest of a depositor or member, Nepal Rastra Bank may impose the following punishment on such director:—

(a) to caution or advise,

(b) to suspend,

(c) to impose a fine of up to five lakh rupees,

(d) to order the committee to withhold all facilities, including salary and allowances,

(e) to order the concerned committee to remove such person from the post of director, if such person is a director, or, if an employee, to take action under the law relating to the service terms of such employee.

(3) Before imposing punishment on any person under this Section, a reasonable opportunity shall be given to such person to present a defence.

[79]Omitted by the Act Amending Some Nepal Acts, 2075.

129. Power to Write for Investigation:–

The Ministry, Nepal Rastra Bank, the [80]Authority, the Registrar, or officer authorized by the Registrar may, upon coming to know, in the course of discharging their functions, duties and powers under this Act, that any person has committed an offence under Section 122, write to the concerned body for investigation of such offence under this Act.

130. Nepal Government to Be the Plaintiff:–

A case relating to an offence punishable under Section 124 shall have the Nepal Government as plaintiff, and shall be deemed to have been included in Schedule 1 of the State Cases Act, 2049.

131. Authority to Hear Cases:–

A case relating to an offence punishable under Section 124 shall be tried and settled by the concerned District Court.

131A. [81]Compromise May Be Made:–

(1) Where an application is submitted stating that, in a case filed under Section 130 against a defendant alleging that a depositor's savings amount could not be repaid, or that the savings amount was misappropriated, or that cooperative fraud was committed, and which is pending in a court, or in any other criminal case that is compromisable under the prevailing law, the depositor's savings amount or the misappropriated savings amount has been returned, and requesting that compromise be arranged, compromise may be made.

(2) Notwithstanding anything contained in sub-section (1), compromise shall not be made in a case relating to organized crime, money laundering, and other criminal offences that are not compromisable under the prevailing law.

(3) Compromise under sub-section (1) may be made even at the stage of execution of a judgment, and, upon such compromise, the defendant shall not be liable to pay the fine and amount involved imposed, and the record of imprisonment shall also be deducted accordingly.

(4) While compromising a case under sub-section (1), where the movable or immovable property of the defendant needs to be released from restraint, the concerned court shall release such restraint and give effect to the compromise.

(5) The opinion of the Government Attorney shall be obtained while compromising under sub-section (1).

(6) While compromising under sub-section (1), where there is more than one defendant, compromise may be made by paying the amount involved corresponding to one's own share, where the amount involved of the concerned defendant has been ascertained.

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[80]Inserted by the Cooperatives (First Amendment) Act, 2083.

[81]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

(7) While compromising under sub-section (1), the procedure mentioned in the National Criminal Procedure Code, 2074 shall be followed.

132. Limitation Period for Filing Complaint:–

(1) A person who comes to know that another person has committed, or is about to commit, an offence punishable under Section 124 shall lodge a complaint within [82]one year from the date of coming to know thereof.

(2) A person who comes to know that another person has done any act attracting a fine under Section 125 shall lodge a complaint before the Registrar or officer authorized by the Registrar within ninety days from the date of coming to know thereof.

133. Power to Appeal:–

(1) A person not satisfied with a refusal of registration of a cooperative institution under Section 16, or with cancellation of registration of a cooperative institution under Section 88, may appeal against a decision made by the officer authorized by the Registrar, to the Registrar, and against a decision made by the Registrar, to the Secretary of the Ministry, within thirty-five days from the date of notice of such decision.

(2) A person not satisfied with a fine imposed under Section 125, or with the punishment under clause (d) or (e) of sub-section (1) of Section 128, or clause (c), (d) or (e) of sub-section (2) of that Section, may appeal within thirty-five days from the date of notice of such decision, as follows:—

(a) against a decision made by the officer authorized by the Registrar, to the concerned District Court,

(b) against a decision made by the Registrar or Nepal Rastra Bank, to the concerned High Court.

134. Recovery:–

Where a person fails to pay any fine or amount payable under this Chapter and it remains outstanding, such fine or amount shall be recovered from such person as government dues.

Chapter-20
Miscellaneous

135. Special Provisions Relating to Operation of Institutions:–

(1) Notwithstanding anything contained elsewhere in this Act, the immovable property, including house and land, of Sajha Yatayat, Sajha Prakashan, Sajha Swasthya Sewa, Sajha Bhandar, Sajha Sewa and similar institutions, owned or controlled by the Nepal Government, Provincial Government, Local Level or the [83]Authority, in which the Nepal Government holds fifty-one percent share ownership, at the time this Act commences,

[82]Amended by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.
[83]Amended by the Cooperatives (First Amendment) Act, 2083.

shall not be sold, mortgaged, or leased for a period of five years or more without the approval of the Nepal Government.

(2) The Nepal Government, Provincial Government or Local Level shall give priority to arrangements for goods and services provided by institutions under sub-section (1), and may provide financial assistance and collaborate with such institutions.

(3) Notwithstanding anything contained elsewhere in this Act, other arrangements relating to the operation and management of institutions under sub-section (1) shall be as prescribed.

135A. [84]Committee May Be Formed to Return Savings Amount:–

(1) Notwithstanding anything contained elsewhere in this Act, where at least fifteen percent of the members of a cooperative institution submit an application to the concerned body looking after cooperatives for permission to take charge of the institution's property and form a committee to return members' savings amounts, and to operate the institution, on the grounds that the cooperative institution has been unable to return the savings amount to its members due to reasons including the inability to recover loans, or the board of directors has acted contrary to the interest of members, or most of the directors are not present in the institution, or the savings amount of members could not be returned because the general assembly has not been held under this Act.

(2) Upon receipt of an application under sub-section (1), the concerned body looking after cooperatives shall maintain a record and grant permission for the formation of such committee and the operation of the institution.

(3) After obtaining permission under sub-section (2), the members who submitted the application under sub-section (1) shall immediately inform the concerned body looking after cooperatives of the formation of the committee to return the savings amount and the operation of the institution.

(4) A committee formed under sub-section (3) shall convene a general assembly within six months from the date of its formation.

(5) The committee under sub-section (3) shall exercise the powers vested in, and discharge the duties of, the committee under this Act.

(6) The committee under sub-section (3) shall return members' savings amounts subject to Section 108A.

(7) The committee formed under sub-section (3) shall prepare a separate record of the amount recovered from borrowers, income received from movable and immovable property of the institution, and details of savings amounts returned to depositors, for the purpose of returning savings amounts to depositor members, and shall maintain such

[84]Inserted by the Act Amending Some Nepal Acts relating to Cooperatives, 2081.

record safely, and submit details thereof to the concerned body looking after cooperatives every three months.

(8) After receiving the details under sub-section (7), the concerned body looking after cooperatives may give necessary directives to the committee formed under sub-section (3).

(9) The amount recovered from borrowers, income received from movable and immovable property of the institution, and amount received from sale of the institution's property under sub-section (7) shall be deposited in a separate account opened at a Class "A" bank licenced under the prevailing law relating to banks and financial institutions, and depositor members' savings amounts shall be paid from such account.

(10) Notwithstanding anything contained elsewhere in this Act, a member of the committee under sub-section (3) shall not be liable for any act or action done contrary to this Act before assuming responsibility under this Section, and no legal action shall be taken against such person in that regard.

136. Exercise of Voting Right:–

(1) Notwithstanding the number of shares purchased by a member of a cooperative institution, such member may exercise their voting right on the basis of one member, one vote, in the operation of the business of the concerned cooperative institution.

(2) Notwithstanding anything contained in sub-section (1), in the case of an Association, more than one representative may be sent to participate in the general assembly, as prescribed, for the purpose of participating in such general assembly, and other arrangements relating to sending representatives shall be as prescribed.

(3) Notwithstanding anything contained in sub-section (2), more than one person from one institution or Association shall not be entitled to be elected to the committee or accounts supervision committee of the concerned Association.

137. Social Audit May Be Conducted:–

(1) A cooperative institution may conduct a social audit on matters including the decisions and work of the committee, the level of service and satisfaction obtained by members, and positive changes in the economic, social, cultural and environmental aspects of the lives of members from receiving services, in order to achieve the objectives mentioned in the bylaws.

(2) The committee shall submit the report of the social audit conducted under sub-section (1) to the general assembly for discussion.

(3) The general assembly shall discuss the social audit report submitted under sub-section (2) and may give necessary directives to the committee as required.

(4) The concerned cooperative institution shall submit a copy of the social audit report under this Section to the Registrar or officer authorized by the Registrar, and, in the case of a cooperative bank, also to Nepal Rastra Bank.

138. Cooperative Education:–

(1) The Nepal Government may include basic knowledge of cooperatives in the school-level curriculum, and provide necessary support for the establishment of cooperative schools and universities, and a cooperative faculty or school (School of Cooperatives) under a university.

(2) Other arrangements relating to accreditation of cooperative institutions or bodies conducting cooperative educational activities, and other matters relating to cooperative education, shall be as prescribed.

139. Not to Provide Financial Assistance:–

The amount of a cooperative institution shall not be used to provide financial assistance for any work other than social work, to anyone other than a member.

Explanation: For the purpose of this Section, "social work" means work relating to education, health, environmental protection, humanitarian assistance, and promotion of cooperativism.

140. Power to Conduct Inter-Cooperative Transactions:–

(1) Notwithstanding anything contained elsewhere in this Act, cooperative institutions may conduct inter-cooperative transactions among themselves.

(2) The procedure for inter-cooperative transactions shall be as prescribed.

141. Provisions Relating to Tax:–

Notwithstanding anything contained elsewhere in this Act, cooperative institutions conducting financial transactions within a Metropolitan City, Sub-Metropolitan City and Municipality area shall be liable to tax at the rate of ten percent, seven percent and five percent respectively.

Provided that no tax shall be charged to a cooperative institution conducting financial transactions within a Rural Municipality area.

142. Contract Not to Be Given:–

A cooperative institution shall not give a contract to any director of its committee, or coordinator or member of the accounts supervision committee, or its employee.

143. Dispute Settlement:–

Where any dispute arises between cooperative institutions, a dispute settlement committee may be formed as prescribed for settlement of such dispute.

144. Incentive May Be Given:–

Incentive may be given, as prescribed, to a person, cooperative institution or other body that makes a notable contribution to the promotion of the cooperative sector.

145. Departmental Action:–

An employee who exercises, with mala fide intent, any authority mentioned in this Act or the Rules framed under this Act, shall be subject to departmental action under the prevailing law.

146. Recovery as Government Dues:–

Where a cooperative institution is found to have misused a government grant received, or any service or facility, such amount shall be recovered as government dues under the prevailing law.

147. Prevailing Law Relating to Companies Not to Apply:–

The prevailing law relating to companies shall not apply to a cooperative institution registered under this Act.

148. Action Not Barred under Prevailing Law:–

Nothing contained in this Act shall be deemed to have barred the filing of a case against any person in a court under the prevailing law.

149. [85]Power to Frame Rules and Regulations:–

(1) The Nepal Government may frame necessary Rules for the implementation of this Act.

(2) Subject to this Act and the Rules framed hereunder, the Authority may, with the approval of the Nepal Government, frame necessary Regulations.

150. [86]Special Provisions Relating to Regulation, Monitoring and Supervision:–

(1) The regulation, monitoring and supervision of a cooperative institution registered at the local level, conducting an annual transaction up to twenty-five crore rupees, shall be carried out by the concerned local level.

(2) The regulation, monitoring and supervision of a cooperative institution registered at the local level, conducting an annual transaction exceeding twenty-five crore rupees but up to fifty crore rupees, and of a cooperative institution registered at the province, conducting an annual transaction up to fifty crore rupees, shall be carried out by the concerned province.

(3) The regulation, monitoring and supervision of a cooperative institution registered at the local level or province, conducting an annual transaction exceeding fifty crore rupees,

[85]Amended by the Cooperatives (First Amendment) Act, 2083.

[86]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

and of a cooperative institution registered at the Department, shall be carried out by the Department.

(4) The regulation, monitoring and supervision of a cooperative institution whose annual transaction under sub-section (1) or (2) covers a working area of two or more local levels or provinces shall be carried out by the local level or province where the central office of such institution is located.

(5) Notwithstanding anything contained in sub-section (1) or (2), where a request is made by the concerned local level or province for the regulation, monitoring and supervision of any cooperative institution on the basis of risk, the Department may regulate, monitor and supervise such institution.

(6) In addition to sub-section (1), (2), (3), (4) or (5), Nepal Rastra Bank shall also regulate, inspect and supervise a cooperative institution having share capital exceeding fifty crore rupees, or conducting an annual transaction equal to that amount, on the basis of financial good governance and risk, upon request by the Department.

(7) Notwithstanding anything contained elsewhere in this Act, where a complaint or grievance is received that this Act, the Rules, procedures, directives, guidelines or instructions framed under this Act have not been complied with, the Department may regulate, monitor and supervise any cooperative institution.

(8) The Department may cause the regulation, monitoring and supervision of such institution to be carried out by a committee consisting of representatives of prescribed bodies and subject experts, according to the nature of work of the cooperative institution.

[87](9) Notwithstanding anything written elsewhere in this Act, the Authority shall carry out the regulation, monitoring, and supervision of cooperative institutions conducting principal transactions of savings and credit under this Section.

[88](10) Notwithstanding anything written elsewhere in this Act, matters relating to the registration, monitoring, and regulation of cooperative institutions within the jurisdiction of a Provincial Government or Local Level shall be governed by the prevailing law relating to cooperatives of the concerned Province or Local Level, provided that it is not inconsistent with federal law.

[87]Inserted by the Cooperatives (First Amendment) Act, 2083.
[88]Inserted by the Cooperatives (First Amendment) Act, 2083.

150A. [89]Duty to Comply with Directives Relating to Prevention of Money Laundering:–

(1) A cooperative institution shall comply with directives issued by the body empowered under the prevailing law regarding the prevention of [90]money laundering, terrorist activities, or production, expansion or financing of weapons of mass destruction.

(2) The provision under sub-section (1) shall apply equally to a cooperative institution registered or operated under a provincial or local cooperative law.

(3) The Provincial Government or Local Level shall implement, and cause to be implemented, the directive under sub-section (1) with respect to a cooperative institution registered or operated under sub-section (2).

[91](4) The Registrar or officer authorized by the Registrar may, on the basis of risk and as necessary, monitor, inspect and take necessary action and impose punishment under the prevailing law regarding compliance or non-compliance with the directive issued under sub-section (1).

[92](5) With regard to compliance with a directive issued by an agency under the prevailing law pursuant to sub-section (1), a cooperative institution conducting principal transactions of savings and credit shall submit a report to the Authority within the time specified by the Authority, and the Authority may study such report and issue necessary directives.

[93](6) With regard to whether the directive under sub-section (5) has been complied with, the Authority may carry out intensive monitoring, or special inspection and supervision, of the cooperative institution conducting principal transactions of savings and credit concerned.

[94](7) The Authority may, as necessary, carry out intensive monitoring or special inspection and supervision in coordination and participation with the Department, and the Authority may delegate some of the powers vested in it to the Department.

[95](8) Where, in the course of intensive monitoring or special inspection and supervision under this Section, it is found that a directive has not been complied with, the Authority may take action and impose punishment as per the prevailing law, or, where further investigation and action is required, may recommend the matter and forward it to the agency concerned.

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[89]Inserted by the Act Amending Some Nepal Acts, 2075.
[90]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[91]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[92]Inserted by the Cooperatives (First Amendment) Act, 2083.
[93]Inserted by the Cooperatives (First Amendment) Act, 2083.
[94]Inserted by the Cooperatives (First Amendment) Act, 2083.
[95]Inserted by the Cooperatives (First Amendment) Act, 2083.

151. Power to Frame and Implement Standards, Directives or Procedures:–

(1) The Ministry may, subject to this Act and the Rules framed under this Act, frame and implement standards, directives or procedures as necessary to conduct the registration, operation, inspection and monitoring and other activities of a cooperative institution in an organized and effective manner.

[96](1A) Nepal Rastra Bank shall frame and issue standards relating to the regulation, inspection and supervision of a cooperative institution conducting principal transactions of savings and credit.

[97](1B) The Authority may, subject to this Act and the Rules framed hereunder, frame and implement directives or procedures for the performance of its functions.

(2) While framing standards under sub-section (1), separate standards may be framed for institutions or Associations conducting principal transactions of savings and credit, on the basis of internationally recognized standards adopted for the protection of members' savings and institutional sustainability.

(3) The Ministry may, as necessary, obtain the advice of Nepal Rastra Bank and other concerned bodies while framing standards under sub-sections (1) and (2).

152. Repeal and Saving:–

(1) The Cooperatives Act, 2048 is hereby repealed.

(2) Acts done and actions taken under the Cooperatives Act, 2048 shall be deemed to have been done and taken under this Act.

[96]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[97]Inserted by the Cooperatives (First Amendment) Act, 2083.